DMG Media

Cloud Readiness Assessment

Part 1: Strategy, Discovery and TCO Analysis

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Section 1: Executive Summary

Our Understanding of DMG Media

DMG media is a global publishing leader operating at massive digital scale

DMG Media owns flagship brands including Daily Mail, MailOnline, Metro, The i Paper and New Scientist, reaching ~108M monthly users globally, with MailOnline one of the world's largest English-language news platforms. This positions the group as one of the largest consumer media platforms in Europe, with significant audience reach across the UK, US and Australia.

Clear strategic pivot to a subscription-led, customer-centric model

The organisation is executing a "One Daily Mail" strategy targeting 1M digital subscribers within three years, building on a base of 325K+ subscribers globally following the launch of Mail+. This marks a strategic shift from a predominantly advertising-led model toward diversified, recurring reader revenue.

Data-driven experimentation underpinning growth strategy

Digital subscription growth is being driven through a test-and-learn model, with continuous experimentation across pricing, content, and user journeys. The business is leveraging platforms like Piano to enable propensity modelling, segmentation, and conversion optimisation, embedding data into commercial decision-making.

Operating at global content scale with highly industrialised production

MailOnline attracts 120M+ global users and publishes ~1,500 articles per day, supported by large, distributed editorial teams. This level of output reflects highly industrialised content operations, requiring scalable platforms to support publishing, distribution, and audience engagement in real time.

Market-leading engagement across digital news platforms

MailOnline consistently ranks as the number 1 commercial news site in the UK, with industry-leading reach and strong time spent metrics. This level of engagement provides a strong foundation for monetisation through both advertising and subscription models.

Next phase: AI-led growth and personalisation requires modern platforms

DMG Media is investing in AI-enabled editorial tooling, analytics, apps, newsletters, and digital product innovation to support growth in subscriptions and engagement. As these capabilities scale, the need increases for integrated data platforms, real-time decisioning, and flexible infrastructure to support experimentation, personalisation, and global delivery.

DMG Media has built a scaled digital publisher, the next phase of growth will be defined by its ability to standardise, automate, and operationalise data and AI at scale

Opportunities (With Transformation)

"From Complexity to Capability"

- **AI-enabled growth and personalisation at scale**
  - Enable data-driven content, automation, and decisioning
  - Move from isolated AI use cases → platform-wide capability
- **Cost optimisation through utilisation alignment**
  - Match cost to demand: Eliminate overprovisioning and shift from fixed capacity to consumption-based infrastructure
  - Embed FinOps discipline: Drive cost visibility, accountability, and continuous rightsizing across teams
  - Activate cloud cost levers: Optimise through storage tiering, platform modernisation, and application rationalisation
  - Realise savings progressively: Deliver early wins, then scale optimisation and transformation over time
- **Standardisation and simplification**
  - Unified platform across brands
  - Reduced operational complexity and faster delivery
- **Incremental value delivery (not big bang)**
  - Early wins (e.g. Sydney DC exit, rightsizing)
  - Ongoing optimisation through migration phases
- **Target Operating Model Alignment**
  - Cloud migration provides a one-time opportunity for standardisation across brands, elimination of silos and reduction in shadow IT.
  - This allows for optimising against rapid innovation and continuous incremental improvements

Risks (If No Action Taken)

"Yesterday's Platform, Tomorrow's Problem"

- **Doing nothing is not cost-neutral, it creates forced decisions**
  - VMware (Broadcom) → unavoidable cost increase
  - DC leases & Microsoft EA → renewal locks long-term direction
  - Hardware → can be extended, but limits future capability
- **Current platform limits future capability, not just scale**
  - Akamai already handles traffic peaks effectively
  - The challenge two-fold:
  - is increasing platform complexity, not burst demand
  - upgrades and new infrastructure results in long-term investment cycles

- **Operational fragmentation limits growth**
    - Multiple teams, tools, and processes across estate
    - No unified control plane → slower delivery and higher risk
- **Skills and operating model misalignment**
    - Estate optimised for traditional infrastructure
    - Not aligned to cloud-native and an AI-enabled operating model
- **5. Technical Debt:**
    - Modernisation necessary to protect the business from risk associated with increasing operational burden and growing number of security vulnerabilities.

The time to act is now - standardising and evolving your tech stack allows dmg media to innovate

What This Report Delivers

This is the Part 1 Cloud Readiness Assessment for DMG Media. Rackspace spent eleven weeks between February and April 2026 assessing DMG Media's UK and Sydney datacentre estate. The assessment covered automated infrastructure discovery across the full server estate, nine application workshops with business area owners, an independent cost comparison across AWS, Azure, and GCP using live pricing data keeping like to like comparison, a cloud readiness assessment across five organisational dimensions, and a weighted hyperscaler selection evaluation. This report presents the findings, the platform recommendation, and the concrete entry point to Part 2.

Critical Conclusions

1. Several DMG Media contracts are converging inside a two-year window.

The Reading and Slough datacentre leases expire in November 2027. The Microsoft Enterprise Agreement expires in May 2027. The Broadcom VMware position has already shifted: DMG Media holds perpetual licences with expired or expiring Support and Subscription, which means no patches, no new host additions, and no version upgrades without a VCF subscription. Each of these can be renewed independently but doing so re-locks capital into on premises for another cycle. A coordinated approach lets DMG Media take the decisions together rather than sequentially and is the reason this assessment exists now rather than in twelve or eighteen months.

2. The estate is bigger and more varied than the original scope assumed.

The Statement of Work scoped 2,300 servers across VMware only, based on pre-engagement information. During kick-off, DMG Media disclosed additional infrastructure including Proxmox, physical bare-metal Oracle and SQL database servers, appliances, and existing cloud workloads. Discovery identified a total estate of 4,500+ servers. Scope was expanded in agreement with the customer team to 3,038 servers across five infrastructure types, all fully priced and assessed. The remaining ~1,500 servers are catalogued and will be reviewed in Part 2 and either fully assessed, or deemed out of scope for migration, based on DMG business need.

DMG Media has 39 applications across the estate. Mail Online alone represents 72.6% of in-scope servers and has 91 identified sub-components.

3. The cost comparison is a lift-and-shift starting point. The levers to reduce cost sit in cloud, not in the datacentre.

DMG Media have shared some outlines costs which indicate a baseline cost of approximately £3.64M per year on premise – though this number needs further review, given some of the gaps and assumptions. The lift-and-shift cloud cost (infrastructure baseline, Oracle Exadata@Cloud, Oracle support retained under BYOL, SQL Server and Windows BYOL with Software Assurance confirmed, storage tiering, operational carry-forwards, and indicative internet egress) is approximately £4.59M per year on GCP, £4.70M per year on AWS, and £5.67M per year on Azure. These figures represent every workload moved as-is, with no optimisation, no rationalisation, and no commercial negotiation applied.

The on-premises baseline is incomplete and rising. It does not include the Broadcom VCF subscription now required to continue operating VMware, the next hardware refresh cycle, or the security exposure of running 1,870 servers on unsupported operating systems. Microsoft EA and Oracle support renew annually with no downward pressure. None of these costs have a path to reduction on-premises. Each renewal cycle re-locks capital at the same level or higher.

The cloud figure carries forward £1.76M of operational cost at today's rates. Database support, security tooling, Oracle support, Ubuntu patching, and Microsoft support all transfer into the cloud figure unchanged. These are the largest optimisation levers available. As managed services, cloud-native security, and re-platforming take effect through the transformation programme, this number reduces significantly. The Guardicore contract also covers client endpoints outside migration scope, meaning the server-attributable portion is lower than the headline figure.

Hyperscaler credits and commercial discounts are not yet applied. Indicative funding programmes show approximately £570K (AWS) and £563K (GCP)*[1] in consumption credits alone, with additional partner funding and enterprise discount programmes on top. These reduce the cloud figure further and are covered separately.

Oracle is the largest single variable. The £650K per year support contract is identical in both environments under Exadata@Cloud. On-premises, there is no route to reducing it. In cloud, a modernisation path to PostgreSQL exists that would eliminate it entirely and reduce database infrastructure cost by a further £540-780K per year. The conversion cost is not estimated in Part 1, it would need to be developed through part 2 and beyond. In cloud, a modernisation path to managed PostgreSQL exists that would eliminate both the Oracle support contract and more of the database management overhead, with hyperscaler funding available to offset the conversion cost. On-premises, PostgreSQL is technically possible but without managed services or vendor funding, the operational burden transfers rather than disappears

[1] Please note figures are indicative only, and subject to commercial agreement from each hyperscaler.

Cloud provides optimisation levers that do not exist on-premises: right-sizing, deeper committed discounts over time, storage tiering, application rationalisation, platform as a service (PaaS) adoption, and container adoption for overprovisioned workloads. On-premises, the hardware is bought, the rack space is leased, and the cost is fixed regardless of whether the capacity is used.

Year 1 is a net investment year: migration delivery, dual-run overlap, and cloud run-rate. The complete financial model, including Year 1 cash flow and payback timeline, is a Part 2 deliverable that requires the platform decision, migration wave sequencing, and confirmed commercial terms. Steady-state savings begin from Year 2 as datacentre exit becomes viable and optimisation takes effect.

4. The recommended platform is AWS, primary, with validated exceptions.

The recommended platform is AWS primary, with validated exceptions.

AWS is the strongest fit for DMG Media's specific estate and constraints. The recommendation rests on four pillars: technical fit, cost, ecosystem, and existing investment.

- **Technical fit.** DMG Media's estate is characterised by tightly coupled, infrastructure-dependent applications with hard dependencies on networking, storage, and compute patterns that each cloud platform handles differently. AWS provides the broadest technical flexibility across these patterns, minimising rework for the widest range of workloads. The most visible constraint is Atex, which requires multicast networking. AWS is the only platform that supports multicast natively (Transit Gateway). GCP and Azure would both require DMG Media to refactor the Atex architecture from multicast to unicast, a significant cost and engineering effort with no business benefit. Given that DMG Media is exiting VMware (which rules out VMware-on-cloud as a workaround), this is a hard constraint, not a preference. But Atex is not an isolated case. Across the estate, tightly coupled applications with infrastructure-level dependencies are common, and AWS consistently accommodates more of these patterns without architectural compromise. AWS also provides the strongest application modernisation pathway. The initial migration strategy is lift-and-shift to establish the cloud footprint, but the long-term value comes from progressing workloads towards containerisation, managed services, and serverless as the estate matures. The estate is predominantly Linux, which runs well on all three clouds but gains no advantage from Azure's Windows-centric licensing model. Azure Hybrid Benefit applies to only 234 of 3,038 in-scope servers (7.7%).
- **Cost**. On the Complete View, GCP is the cheapest cloud at £4,594,427 per year, AWS is within 2.1% at £4,695,661, and Azure sits 24% higher at £5,671,241.
  The gap between GCP and AWS is marginal and likely to narrow further with commercial terms. The gap between AWS and Azure is structural, driven by Azure's sizing methodology, premium storage pricing, and tooling limitations.

Cloud	Annual Cost	% Gap
GCP	£4,594,427	0%

AWS	£4,695,661	2.1%
Azure	£5,671,241	24%

- **Ecosystem**. AWS has the largest partner and skills market across all segments, including media. This matters because DMG Media's indicated operating model is partner-assisted with upskilling, not a fully self-managed build. AWS direct-connect is already configured to the on-premises estate.
- **Existing investment**. Video streaming already runs on AWS Elemental. Several teams (including MIMIR, Airtable, iQ, and Social Media) already have working knowledge of AWS services. This is not a greenfield decision.
- **The weighted scoring matrix confirms the position**. Across thirteen strategic goals scored 1-5 with priority weighting, AWS scores 88% (912 points), GCP 85% (884), and Azure 85% (880). AWS leads on the categories that carry the most weight for DMG Media: cost, performance, reliability, and business fit. Azure leads on security and licensing, which are real strengths but sit in moderate-priority categories for this assessment.
- **Two exceptions are validated by evidence**: commercial data analytics stays on GCP (existing investment, BigQuery is best-in-class for this workload), and video streaming stays on AWS (already running there). Mail Online's dual ownership (Chief Product Officer for the product, Chief Technology Officer for the infrastructure) must be reflected in programme governance.

5. Organisational readiness is at the level typical for organisations starting this journey.

Overall readiness is approximately 2.1 of 5, measured across Business, Governance, Operations, People, and Security using the standard cloud-adoption questionnaire. Governance is the strongest area (3.0). People is the weakest (1.2). This reflects cloud-specific skills and training rather than overall team capability. The infrastructure organisation has deep enterprise expertise in VMware, Oracle, and networking that this dimension does not capture. This is addressable. It is the first phase of any cloud transformation. Part 2 and the early programme activities (landing zone, training, FinOps, security baselines) close the gap.

Immediate Next Steps

Over the coming weeks DMG media will hear from AWS, Microsoft, and Google directly. Each will present their own view and their own figures. This report is the independent frame of reference against which those presentations can be weighed, based on a consistent set of data.

Hyperscaler sessions (May)

12 May: Microsoft presentation (customer offices and remote, 14:00 to 16:00)

13 May: Google presentation (customer offices and remote, 11:00 to 13:00)

18 May: AWS presentation (AWS offices and remote, 09:30 to 13:30)

The discussion guidance and warning signs provided in this report should be used to evaluate each presentation against a consistent baseline.

Following the hyperscaler sessions:

- Confirm primary cloud platform decision (Rackspace recommendation: AWS, with GCP retained for analytics)
- Rackspace present Statement of Work for Part 2, embracing hyperscaler funding (May)
- Customer approve and sign Part 2 SoW (before end of May)

Part 2 kick-off (target: June)

- 15-week programme: landing zone design, 7R analysis, migration planning, database modernisation assessment
- Sydney early migration and technology trials run in parallel from week 4

Where To Find The Detail

- Section 3: the case for acting now, the Broadcom position, and the business drivers
- Section 4: DMG Media's estate, the 39 applications, the database landscape
- Section 5: cost comparison, methodology, Oracle paths, Complete View
- Section 6: application fit, cohorts, technical constraints
- Section 7: the scoring matrix and the platform recommendation rationale
- Section 8: readiness across five dimensions, current state versus target
- Sections 9 and 10: specific challenges and opportunities with quantification
- Section 11: Moving forward, Part 2 entry point, indicative timeline
- Appendices A through E: TCO methodology, scoring methodology, attached workbooks, open items, glossary

Part 2 is a separately proposed engagement. It turns this report into a concrete migration plan and executes on the foundational actions.

Section 2: About This Assessment

Background

DMG Media operates some of the UK's largest news and publishing brands, with Mail Online as the commercial centrepiece. DMG Media commissioned this engagement in February 2026 because three things are converging: the hardware in DMG Media's datacentres is ageing out, DMG Media's Broadcom/VMware support position has changed materially, and DMG Media have a clear business ambition to reach one million Mail Online subscribers. DMG Media needed an independent view of whether public cloud is the right foundation for the next decade and, if so, which platform.

What DMG Media Asked Rackspace To Do

The scope of Part 1 was to produce:

- An independent infrastructure discovery of DMG Media's UK estate, plus the Sydney satellite datacentre
- A like-for-like cost comparison across AWS, Azure, and GCP
- Application profiling pass across DMG Media's major business applications
- A readiness assessment of the organisation against cloud adoption
- A platform recommendation and the entry point for Part 2

Part 1 did not include: landing zone design, migration execution, per-application 7R classification across the full estate, or licensing procurement. Those are Part 2 activities and are defined in Section 11.

How Rackspace Did It

The work ran over eleven weeks between February and April 2026. The team comprised a lead consultant, a dedicated architect for each of the three clouds (AWS, Azure, and GCP), supporting cloud engineer, a migration consultant and a senior engagement manager.

The work fell into six phases:

1. Mobilisation and kick off: stakeholder mapping, access provisioning, workshop scheduling
2. Strategy assessment: foundational workshops, business driver capture, hyperscaler selection criteria
3. Automated infrastructure discovery: deployment of Google Cloud Migration Center across the estate, Oracle database assessment via Oracle's DMA tool (A-cluster assessed; B-cluster production data was not available during Part 1 and is flagged as the priority discovery item for Part 2), SQL Server assessment via a separate tooling pass, network dependency capture, application-to-infrastructure mapping

4. TCO analysis: independent pricing of every in-scope server against live cloud pricing APIs, to normalise the comparison across providers and produce as close to an like-to-like view as possible; optimisation scenarios; Oracle path modelling
5. Cloud service provider selection: DMG Media set the weightings. Rackspace scored the providers in two passes: an unbiased first pass against market baselines, then a refinement against DMG Media's specific estate to confirm each cloud's benefits are usable in practice, not just on paper.
6. Strategy report and this playback

Data was collected between 19 February and 27 March 2026. Nine application workshops were completed with business area owners. The data freeze was 27 March. Anything that changed after that date is flagged inline.

The methodology is detailed in Appendix A for the technical panel.

What The Outcome Is

This report presents:

- A like-to-like cost comparison for 3,038 servers across three clouds, with an optimised view that factors in licensing and Database migration options.
- A readiness score across five dimensions, showing current state and the gap to target.
- A primary platform recommendation, with validated exceptions where DMG Media's existing application footprint supports a different cloud.
- A concrete Part 2 entry point.

Scope Versus Actual Discovery

The scope moved during the engagement.

1. **2,300 servers**: the Statement of Work scope, based on pre-engagement information (VMware only).
2. **3,038 servers:** the actual in-scope count for Part 1 assessment, after scope was expanded to cover infrastructure disclosed at kickoff (Proxmox, physical bare metal, appliances, existing cloud). Every one of these 3,038 servers was discovered, profiled where possible, and independently priced.
3. **4,500+ servers:** the full discovered estate. The additional ~1,500 beyond the 3,038 in-scope subsets were catalogued but not assessed in Part 1 and are a Part 2 scope item**.**

Rackspace absorbed the Part 1 scope expansion from 2,300 to 3,038 at no additional cost to DMG Media. This represents a material amount of additional discovery and analysis effort delivered without a revised commercial. The remaining ~1,500 servers are catalogued. DMG Media has confirmed that these additional applications would not make a material difference to the TCO or the overall direction of travel, but they will need to be picked up alongside any other aspects of the estate when the programme moves into Part 2 and wave planning.

This report covers the 3,038 in-scope servers. Where the full estate is referenced (for context or Part 2 framing), that is called out explicitly.

What This Report Covers

The sections that follow cover why cloud makes sense now (Section 3), the estate discovery (Section 4), cost comparison (Section 5), business and application fit (Section 6), the platform recommendation (Section 7), organisational readiness (Section 8), specific challenges and opportunities (Sections 9 and 10), and moving forward into Part 2 (Section 11). Appendices provide methodology and detail for the technical panel.

Section 3: Why Cloud, Why Now

DMG Media’s Business Drivers

DMG Media’s decision to explore cloud was framed at kick-off around three business drivers. Everything in this report ties back to these.

Enhanced security and data or AI analytical insights are an expected outcome of this transformation, not a standalone driver. DMG Media’s early-stage AI work (Genie, AI Insights Agents) will benefit from a cloud platform but is not driving the migration timeline.

1. Standardisation and Simplification

DMG Media operate across multiple brands with approximately 170 technology staff distributed across seven areas. Each area operates with its own tooling, processes, and standards. At kick-off, DMG Media’s technology leadership identified inconsistent delivery processes during projects across business areas as a significant operational constraint. The cost of this fragmentation is slower delivery, higher operational risk, and harder co-ordination on changes that span brands.

DMG Media’s goal is to converge on a limited set of approved platforms and patterns, eliminate shadow IT, and establish a standardised technology foundation that supports growth without adding proportional complexity.

2. Productivity and Cost Optimisation

DMG Media have set a target of reducing total cost of ownership while improving delivery velocity. This requires shifting from fixed, capacity-based cost models to demand-aligned consumption, removing custom systems that provide low value, and replacing bespoke workflows with pre-approved blueprints.

The commercial test is whether cloud adoption translates to financial performance. It only does if cost discipline is embedded from day one, through FinOps practice and clear visibility of spend by platform, product, and environment.

3. Automation and Workflow Optimisation

Manual processes limit growth and degrade customer experience. DMG Media have identified automation of repeatable, high-volume operational workflows as essential for enterprise-scale operations. The outcome is reduced operational and key-person risk, the ability to scale revenue without linear cost growth, and business teams focused on value creation rather than administration.

The Case for Acting Now

What would happen if DMG Media did nothing? Six contracts expire or require renewal within the next two years. Renewing any of them independently re-locks capital into on premises for another cycle

Converging contracts

Contract	End date	What happens at expiry	Cost (Annual)
Reading datacentre (Centre Square)	30 Nov 2027	Renegotiation or exit.	£386K
Slough datacentre (Digital Realty)	30 Nov 2027	Renegotiation or exit.	£338K
Sydney datacentre (Equinix)	30 Jun 2028	Renegotiation or exit. Flexible contract.	£40K
Oracle 24x7 support	Ongoing, perpetual	Near one-way: reinstatement after drop costs 150% plus back-support for lapsed period.	
Microsoft Enterprise Agreement	31 May 2027	Renewal or move to MCA.	£137K - Windows £119K - SQL
Microsoft Bluesource support	10 Oct 2027	Renewal or replacement.	£80K
Broadcom VMware support and subscription	Expired / expiring	See Broadcom position below.	

Every contract in this table renews or expires within a two-year window. Extending any of them independently re-locks capital for another period. Co-ordinating exit reduces compounding sunk cost commitments and preserves the option value of a cloud migration.

Broadcom VMware perpetual licence position (KB Article 429208)

Since Broadcom acquired VMware, the licensing model has changed. DMG Media hold perpetual VMware licences with Support and Subscription (SnS) that has expired or is expiring.

This creates a specific risk profile:

What continues to work

- ESXi hosts and vCenter continue to operate normally
- No automated shutdown, all virtual machines remain powered on
- All management tasks are functional
- All features entitled by the current licence edition remain unlocked

What stops working

- No access to the Broadcom Support Portal for patches, security updates, or version releases
- No ability to open support requests
- Security posture degrades over time because patches cannot be retrieved. Multiple actively exploited zero-day vulnerabilities in VMware ESXi and Workstation have been disclosed in 2025 (CVE-2025-22224, CVE-2025-22225, CVE-2025-22226). DMG Media's ability to patch against newly disclosed VMware CVEs depends on an active SnS contract, which is not currently in place.
- No new ESXi hosts can be added to the environment
- No major version upgrades without active SnS

- Broadcom has ended perpetual licensing for new purchases. If DMG Media ever need to expand or upgrade, the only path is VCF subscription licensing. This is not a scare tactic; it is a factual description of where the VMware estate sits today.
- DMG should consider indicative VCF subscription pricing - Without this figure, the on-premises baseline is understated. The true cost of staying includes a VCF subscription that is not yet quantified, or costs to migrate to ProxMox or other similar solution.

Operational fragmentation

170 technology staff across seven operating areas, running different tooling, processes, and standards actively limits what can be done operationally. During discovery, we observed distinct access patterns across business areas: different credential stores (eg:, 'molsupport' and 'funcacct' use separate authentication paths), different approval chains, and varying levels of documentation maturity. Without a consistent control plane, the cost of any change is amplified across brands.

Public cloud gives DMG Media a single control plane by default. That is the platform condition for the standardisation, automation, and cost discipline DMG Media's business drivers require.

The Financial Case

The on-premises estate runs on capital expenditure. Hardware is bought, depreciated, and refreshed on a cycle.

Cloud runs on operational expenditure: payment follows consumption, month-by-month.

For a business targeting cost reduction, the timing advantage of operational expenditure matters: it is fully deductible in the period incurred, rather than recovered over asset life. And every pound not committed to the next hardware refresh is capital free to invest in content and subscriber growth

The 1M Subscriber Ambition

DMG Media's target of one million Mail Online subscribers requires infrastructure that can absorb growth in content volume, concurrent sessions, and data processing without proportional increases in capital spend or headcount. The current on-premises estate is sized for today's subscriber base. Scaling it means buying more hardware, more rack space, and more operational staff. Cloud removes the capital constraint: capacity follows demand. The operating model changes in Section 8 address the staffing constraint.

Section 4: DMG Media’s Estate

What was found

This section plays back the discovery so DMG Media can recognise DMG Media’s own estate in this report. Where Rackspace have found surprises or gaps, they are flagged here.

Headline Numbers

Dimension	Value	Note
Servers discovered (full estate)	4,500+	Across five infrastructure types
Servers in scope for Part 1	3,038	Priced and assessed
Applications	39	Plus 91 Mail Online sub-components as migration-planning units within Mail Online
Infrastructure types	5	VMware, Proxmox, physical, appliance, cloud
UK datacentres	2	Reading (Centre Square), Slough (Digital Realty)
Overseas datacentre	1	Sydney (Equinix), flexible contract
Discovery coverage	100% of in-scope	3,038 of 3,038 via Migration Center plus manual collection
TCO data captured	97.0%	Strong. Sufficient for pricing.
Network dependency mapping	27.7% coverage	2M+ total connections captured across servers where guest-level collection was possible
Software inventory	51.5% coverage	Identifies key software on half the estate
Collection period	5 weeks	19 February - 27 March 2026

* Of the 3,038 in-scope servers, 280 were powered off or non-standard at the time of discovery (234 Windows, 31 appliances, 15 Solaris). These are priced at provisioned specifications.

The coverage figures are a deliberate trade-off. Part 1 achieved breadth (every in-scope server discovered) with moderate depth on software and network dependencies. The depth required for migration execution is a Part 2 activity. Rackspace explain why in the discovery narrative below.

Database Landscape

The database estate drives a disproportionate share of complexity and cost. DMG Media have:

- **Oracle:** 6 physical RAC servers across 4 in-scope clusters (Mail Online A, Mail Online B, Atex, CHP). Additional Oracle clusters exist outside the Part 1 scope boundary and are catalogued for Part 2. 24 processor license's (perpetual), annual support of £650K. Combined raw Oracle storage is approximately 540 TB. Actual data per cluster inventory is approximately 176 TB (around 96 TB production, 80 TB standby replica). The remainder is ASM mirroring, redo and archive logs, and temp tablespaces. The Oracle databases hold approximately 176 TB of actual data. The remaining storage is required by Oracle's internal architecture (mirroring, logs, and temporary working space). Cloud sizing is based on the 176 TB data figure, not the raw 540 TB.

- **SQL Server:** 49 instances across 29 hosts, 252 cores, 185 databases. 48 Enterprise Edition cores (Reading datacentre, Datacenter edition), 66 Standard Edition cores (Slough). Covered by Microsoft Enterprise Agreement with Software Assurance. (33 instances, BYOL Eligible)
- **Other databases:** MongoDB, MySQL, PostgreSQL, Redis appear across the Mail Online estate, each in specific sub-services rather than as estate-wide platforms.
- **One critical gap:** One critical gap: the Mail Online B-cluster is the production primary Oracle database and has no DMA assessment data collected. Coordination constraints during Part 1 (access sequencing across infrastructure, database, and security teams) prevented collection within the data freeze window. DMA data was successfully collected for 11 database instances across 7 hosts, covering the Mail Online A-cluster and other Oracle environments. The B-cluster Oracle cost estimates that follow are based on provisioned hardware specifications, not observed workload. Collecting DMA data on the B-cluster is the highest-priority action for Part 2.

Applications

DMG Media has 39 in-scope applications documented across the assessed estate. The top four by server count account for more than 85 percent of in-scope servers. The remaining 35 applications are mostly single-server editorial tooling, shared services, and supporting infrastructure.

Top ten applications by server count

Application	Servers	% of in-scope	What it does
Mail Online	2,206	72.6%	Mail Online: the digital platform. 91 identified sub-components including search, commenting, video processing, content creation, advertising, real-time analytics, and the Oracle data layer.
CHP	146	4.8%	Circulation Hub Platform. Oracle-backed, publishing operations. Runs across Reading, Slough, and Sydney.
WPS	136	4.5%	Web Publishing System. Mail Online's publishing pipeline. Tightly coupled to Mail Online Oracle B-cluster.
Atex	109	3.6%	Editorial content management for print and digital. Multicast-dependent for cluster discovery.
RTA	41	1.3%	Real-Time Analytics for Mail Online. Many instances significantly overprovisioned.
OneVision Suite	36	1.2%	Advertising traffic management. Coupled to ECO3 via SMB.
Teamcity	33	1.1%	Build and CI tooling.
Zabbix	33	1.1%	Monitoring.
ECO3	27	0.9%	Editorial content orchestration. Active-active architecture, feeds OneVision.
Circnet	18	0.6%	Circulation network management. Oracle-backed.

The remaining 29 applications span:

- **Publishing and editorial tooling**: Publishing Flight Check, Editorial Applications Team Automation Service, Mediaplanner, Fingerpost (general and Advertising), Wombat, InstantPress, MailPlus Puzzles, Tolkien.
- **Shared and supporting services**: SolarWinds, Landscape, Cockpit, Oracle Enterprise Manager (slo-aocc), plus a small number of internal reporting and integration tools.

Note on Mail Online sub-components: the 91 sub-components referenced against Mail Online (Search, Reader Comments, Video Processing, Content Creator, Single Sign On, Cache Invalidation, Registration, AMP module, Ads, Live Commentary, Legal Tool, Elasticsearch, Redis clusters, and so on) sit within Mail Online as a single application. They are migration-planning units, not separate applications.

Full application profile detail (dependencies, business criticality, workshop findings) for all 39 applications is in the Application Scoping workbook. This report highlights the patterns, not the list.

What The Workshops Found

Nine application workshops were completed across the business areas. The following patterns emerged:

- Mail Online is a distributed monolith. Many sub-services, many dependencies, but not independently releasable as units. Any Mail Online migration must be planned as a whole, then executed in tranches defined by data and coupling, not by convenience.
- Oracle is the centre of gravity for multiple applications. Mail Online, Atex, CHP, and Circnet all land on Oracle. A cloud decision that does not address Oracle is incomplete. See Section 5 for the three paths modelled.
- Atex has a hard technical constraint. Prestige clustering uses multicast. This works inside a datacentre LAN and breaks in most cloud virtual networks. Section 6 explains the three options.
- Retirement candidates surfaced naturally. The workshops did not require a 'what can we kill' question.
- Many tightly coupled applications. Two examples illustrate the pattern. WPS maintains many sustained Oracle connections to the Mail Online B-cluster; they must migrate together. OneVision reads from ECO3's courier database via SMB; another co-migration group. Discovery identified multiple similar couplings across the estate. The full dependency map is in the Application Scoping workbook and defines the co-migration groups for Part 2.
- ECO3 and OneVision also coupled. OneVision reads from ECO3's courier database via SMB. Co-migration group.

- Sydney is independent. The CSP application in Sydney runs on approximately four servers with minimal cross-dependency to UK systems. Flexible contract. Natural early-migration candidate.
- CMDB is a strong asset for dmg showing current state inventory.
- Application owners have good knowledge of their technical footprint, dependencies, and lifecycle status.
    - RPO/RTO/Business Criticality/HA/DR is not clearly understood or necessarily linked to business criticality
    - Backup schedules and restore processes are not well understood by the business
- AWS competency already exists within some of the business teams. (MIMIR, Airtable, DMG iQ - Social Media & MSN Gallery Creator) already using CI/CD pipelines and automation.

Discovery: What Rackspace Actually Did

The discovery process itself revealed the scale of the operational challenge. Deploying Migration Center across 3,038 servers required navigating a varied set of obstacles:

- **No common credential mechanism**. SSH for Linux (where agent-less collection was possible), a Windows Collection VM running against vCenter for the general Windows estate (WMI was blocked so VMware Tools guest operations were the path), and manual PowerShell per-host for SQL Server DB hosts (Guardicore micro-segmentation). What works for Mail Online's Linux servers does not work for ANL's Windows estate, and neither approach works for bare metal Oracle or Proxmox hosts.
- **Multiple teams, sequential engagement**. Infrastructure, database, security, and application teams each owned different parts of the access chain. Each team had its own approval process and timeline. This sequential coordination was the primary cause of delays in reaching guest-level coverage.
- **Custom automation built specifically for DMG Media's estate**. Off-the-shelf discovery tooling could not handle the spread of infrastructure types and access constraints found in Part 1. The Rackspace team built bespoke collection automation tailored to DMG Media's specific complexity: per-network-zone handling for Mail Online and ANL, vCenter path filtering with parallel discovery across multiple vCenters, SSH fallback for VMs without VMware Tools, standalone Linux and Proxmox collection, and physical server import workflows. Database collection ran through separate channels (Oracle via DMA, SQL Server via PowerShell scripts run per-host because Guardicore micro-segmentation blocked WMI). The scripts and handover documentation were provided to DMG Media's team so collection can continue beyond Part 1.

- **DMG Media Technology team stretched thin**. DMG Media's technology teams were managing day-to-day operations alongside discovery support. The varied issues (port approvals, credential provisioning, firewall changes, agent deployments) meant the same small group was context-switching across unrelated problems simultaneously.

What this means for Part 2: the discovery process confirmed that DMG Media's operational environment varies significantly across business areas, with different credential stores, approval chains, and documentation maturity. This is not a criticism; it is the starting condition that any migration programme must be designed around. The practical lesson is that Part 2 cannot follow a single-threaded model. Multiple parallel workstreams, each with dedicated resources aligned to specific application groups and DMG Media's teams, are required to maintain velocity and reach the deeper data coverage needed for migration execution planning.

Data Gaps and Confidence

What was found

- 100% coverage of in-scope servers (3,038 of 3,038 discovered via Migration Center plus manual collection)
- TCO-grade data for 97% of the estate (sufficient for pricing across all three clouds)
- Network dependencies captured 842 servers (27.7% of estate), yielding over 2 million connection records. Where guest-level collection was possible, the data is rich: full connection maps with source, destination, port, and protocol. But coverage is limited to the servers where collection agents could be deployed. The remaining 72.3% of servers have no network dependency data. Extending this coverage is a Part 2 priority. Software inventory on 51.5% of servers
- Full SQL Server assessment (49 instances, 252 cores, 185 databases)
- Oracle DMA on 11 database instances across 7 hosts

What is missing, and why

- **Mail Online B-cluster DMA assessment**. Production primary Oracle. Coordination constraints during Part 1 prevented collection. Highest-priority Part 2 action.
- **Network dependency mapping at estate scale (coverage is 27.7%).** Guest-level collection depth was the main bottleneck. Deeper mapping is a Part 2 activity.
- **Software inventory at estate scale (coverage is 51.5%).** Same bottleneck.
- **Workload utilisation data on 1,227 servers without VMware Tools**. Pricing for these servers uses provisioned specifications rather than observed utilisation. This produces slightly conservative sizing for VMs and is accurate for bare metal.

The data is sufficient for the Part 1 outcomes (cost comparison, readiness assessment, primary platform recommendation). The data missing is exactly where Part 2 needs to begin and is called out in Section 11.

Section 5: Cost Comparison

What This Section Does

This section shows what public cloud will cost, how that compares across AWS, Azure, and GCP, and what the main levers are. The figures in this section are planning-grade estimates built from the best available data. They are the right basis for comparison and decision-making. They are not a forecast of actual cloud invoices. SKU choices, workload mappings, and commercial terms will all refine in Part 2.

How Rackspace Produced These Numbers

Before getting to the figures, it matters how they were built. Rackspace used a seven-step process:

1. **Data normalisation**. The same source data (server specifications, memory, storage, operating system) was fed to all three hyperscalers. No cloud got a different version of DMG Media's estate. The input dataset: 3,038 servers comprising 14,165 vCPUs, 53,758 GB memory, and 1.26 PB storage. These figures were fed identically to all three clouds.
2. **Architectural benchmarking**. Each cloud's own sizing tool (GCP Migration Center, AWS Transform, Azure Migrate) produced right-sized target configurations. The native tools did the sizing. Their outputs are the starting point, not the final answer.
3. **AI logic audit.** Rackspace audited the SKU mappings each tool produced. Different tools use different optimisation logic. Rackspace checked what each tool assumed and why.
4. **Bias mitigation**. To remove tool-specific bias, Rackspace re-priced every recommended SKU against the official cloud pricing APIs (AWS Price List API, Azure Retail Prices API, GCP Billing Catalog API). This produced a validated, normalised view. The provider-native outputs were used for validation.
5. **Two pricing pillars.** Rackspace report pay-as-you-go (PAYG) (the clean baseline) and 3-year committed (the realistic commitment for an organisation of DMG Media’s scale). One-year commitments are deprioritised as a less attractive option.
6. **Hyperscaler commercial pricing is a separate layer.** This sits on top of the normalised baseline.
7. **Oracle scenarios are modelled separately**. Oracle has three fundamentally different migration paths, each with different pricing mechanics. These are separated rather than averaged into compute cost.

This methodology is what gives the figures credibility when each cloud provider presents their own view directly. DMG Media’s technical panel can verify any number against a specific API response and data normalisation step.

What Is Included and Excluded

The cost comparison is presented in two layers. The baseline covers infrastructure. The Complete View adds operational costs, licensing adjustments, and egress to produce the full picture.

Included in the cloud infrastructure cost (all figures in the infrastructure cost table)

- Compute (vCPU and memory) for each in-scope server
- Block storage (SSD class, IOPS-matched across clouds at 80,000 IOPS per disk where needed)
- Operating system licensing at pay-as-you-go rates unless otherwise stated
- Estimated internal network cost (5% of compute plus storage, a conservative placeholder based on Rackspace experience across comparable enterprise migrations; actual network cost requires traffic flow data not collected in Part 1)

Added in the Complete cost comparison View (all figures in the Complete View table)

- Oracle Exadata@Cloud (Option A, identical pricing across all three clouds)
- Oracle support (£650K per year, retained under BYOL)
- Windows Server BYOL saving (Software Assurance confirmed)
- SQL Server BYOL saving (Software Assurance confirmed, licence mobility across all three clouds)
- RHEL BYOL saving
- Storage tiering saving (non-production moved to HDD-class storage)
- NCS database support (£568K per year, carried forward at full contract value pending confirmed split between infrastructure-layer and database-layer activities)
- Tenable/Guardicore (carried forward at server-attributable portion; full contract includes client endpoints outside migration scope)
- Microsoft support via Bluesource (£80K per year)
- Hyperscaler enterprise support (varies by cloud)
- Ubuntu patching and support
- Indicative internet egress at 100TB per month (illustrative; actual egress depends on Akamai CDN cache hit rate and origin traffic patterns, and can be quantified in Part 2 given traffic flow data)

Excluded from all figures in this report

- Backup and disaster recovery. Both environments carry backup costs. The on-premises backup solution (Veeam) is not broken out in the on-premises baseline, and cloud-native backup costs require RPO and RTO decisions per application. Both sides are excluded. Part 2 addresses this.
- Migration labour (out of scope for Part 1)
- Landing zone infrastructure and interconnect (depends on landing zone design, Part 2)

- Managed service substitutions (e.g. Oracle to PostgreSQL), which are modelled as optimisation scenarios in this report, not included in the Complete View
- Hyperscaler commercial terms (partner discounts, migration credits, committed spend incentives). These are presented separately once received and are not included in any figure above.

Network egress rates for reference (API-verified, London):

- AWS: $0.09/GB for the first 10TB per month, tapering to $0.05/GB above 150TB per month
- Azure: $0.08/GB for the first 10TB, tapering to $0.04-0.05/GB at high volumes
- GCP Premium Tier: $0.12/GB for the first 1TB, $0.11/GB for 1-10TB, $0.08/GB at 10TB+
- At low-to-mid monthly volumes GCP is materially more expensive; at high volumes all three converge

Like-to-like Cloud Infrastructure cost (London, 3-Year Committed, Annually)

The table below shows the same 3,038 servers priced on each cloud at the sizing each cloud's own tool recommended.

Pricing model	GCP (Annual Cost)	AWS (Annual Cost)	Azure (Annual Cost)
Pay-as-you-go	£3,735,168	£3,938,676	£5,097,972
3-year committed	£2,243,688	£2,283,420	£3,298,572

On a 3-year committed basis in London, GCP is the cheapest by approximately 2% over AWS. Azure is approximately 47% more than GCP.

The cost spread is driven primarily by how aggressively each tool right-sized the workloads. Each tool took the same source data (3,038 servers, 14,165 vCPUs, 53,758 GB memory) and recommended a target vCPU allocation as a percentage of the original:

- GCP Migration Center: 32% of source vCPU (the most aggressive reduction, using custom instance shapes down to 1 vCPU)
- AWS Transform: 49% of source vCPU
- Azure Migrate: 53% of source vCPU (typically assigning F2s_v2 with a 2-vCPU minimum, because its sizing algorithm did not generate 1-vCPU SKUs for production workloads and F-series SKU availability with 3-year Reserved Instance coverage in London shapes the options available)

Burstable VM families were excluded across all three clouds by team agreement as not suitable for production workloads. Whether GCP's 1-vCPU instances are appropriate for each workload is a Part

2 validation item. If some workloads require a 2-vCPU minimum in practice, GCP's cost advantage narrows.

SKU choices and workload mappings on any of the three clouds can be refined with deeper Part 2 assessment. The numbers above are the right baseline for a Part 1 independent comparison (same input, each cloud's own tool output, normalised against pricing APIs), not a ceiling or floor for each cloud's commercial position.

Regional Comparison

Three regions were assessed per cloud to give geographic context.

Region	GCP	AWS	Azure
London	£2,243,688	£2,283,420	£3,298,572
NL / Ireland	£2,051,016	£2,175,576	£3,250,944
Frankfurt	£2,270,220	£2,307,948	£3,327,984

NL / Ireland is the cheapest across all three clouds. London is approximately 9% more expensive than NL / Ireland for GCP (this is a consistent pattern, not a DMG-specific premium).

Purpose	**GCP region**	**AWS region**	**Azure region**
Primary	europe-west2 (London)	eu-west-2 (London)	Uksouth (London)
Secondary	europe-west4 (Netherlands)	eu-west-1 (Ireland)	northeurope (Ireland)
Tertiary	europe-west3 (Frankfurt)	eu-central-1 (Frankfurt)	germanywestcentral (Frankfurt)

GCP does not have an Ireland region so Netherlands is used as the closest equivalent. London remains the primary choice given regulatory and latency considerations for DMG Media’s user base.

Component Breakdown (London, PAYG, Annually)

This table explains where the cost differences come from.

Component	GCP	AWS	Azure
Compute	£2,352,300	£2,746,884	£2,740,920
Storage	£1,092,060	£763,044	£1,913,352
OS licence	£118,596	£253,260	£210,984
Network (5%)	£172,212	£175,500	£232,716
Total PAYG	**£3,735,168**	**£3,938,676**	**£5,097,972**

What to notice:

- GCP compute is cheapest because custom instances allow independent CPU and memory sizing. GCP allocated 32% of source vCPU versus AWS 49% and Azure 53%.
- Storage cost differences reflect each cloud's storage product pricing model rather than sizing choices.
  - AWS gp3 has a relatively low per-GB rate with separately priced IOPS and throughput.
  - GCP Balanced Persistent Disk and Hyperdisk Balanced are per-GB at a higher unit rate.
  - Azure assigns Premium SSD with tiered disk sizes (each tier has a minimum GB), which rounds small disks up to the next tier.
- OS licence costs differ because GCP allocates fewer vCPUs (less Windows per-vCPU licensing) and Azure has a mid-range allocation. The number scales with vCPU count, not server count.

Beyond The Cloud Infrastructure cost: Optimisation and Options

The baseline covers compute, storage, OS licence, and internal network. Several items sit on top. Some are mandatory additions for a full view of cloud cost (Oracle, SQL); others are optional levers that reduce cost if DMG Media meets the conditions (BYOL, storage tiering).

Mandatory additions (Annual)

Item	GCP	AWS	Azure	Condition
Oracle (Exadata@Cloud, Option A)	£514,908	£514,908	£514,908	All three clouds offer Exadata@Cloud in London, identical OCI pricing.
Oracle support (retained under BYOL)	£650,004	£650,004	£650,004	£650K per year Oracle support contract retained under BYOL on all Option A/B paths.
SQL Server surcharge	£183,408	£171,432	£171,432	Nets to zero with SA (BYOL).

Optional cost reduction levers (annual)

Lever	GCP impact	AWS impact	Azure impact	Condition
Windows BYOL	-£86,640	-£103,260	-£210,348	Requires active Software Assurance. Different mechanics per cloud. In Complete View.
Storage tiering (non-prod to HDD)	-£223,236	-£123,132	-£119,568	Apply to 336 TiB non-prod. GCP has widest SSD-HDD

				gap. In Complete View.
RHEL BYOL	-£59,220	-£64,800	-£59,220	153 servers via Red Hat Cloud Access. Not in Complete View (requires client confirmation).
Azure Dev/Test	n/a	n/a	-£29,700	49 non-prod Windows. Requires EA and Visual Studio subscriptions. Not in Complete View.

Windows BYOL mechanics differ materially per cloud:

- **Azure uses Azure Hybrid Benefit (AHB).** This is a pricing toggle. No dedicated infrastructure required. It gives the largest saving because it has no infrastructure overhead.
- **GCP requires Sole Tenant Nodes.** The Sole Tenant premium is 10% on compute pricing. Windows BYOL also requires the N-series machine family, which is more expensive than the E2 baseline used elsewhere in the TCO. The £86,640 annual saving is the net saving after the Sole Tenant premium and N-series uplift are deducted.
- **AWS requires Dedicated Hosts.** The £103,260 annual is the net saving after the Dedicated Host cost premium is deducted from the gross BYOL saving.

  Important constraint on Windows BYOL on AWS and GCP: Microsoft's Listed Provider rules (October 2019) require that BYOL Windows licences be acquired before 1 October 2019, or true-upped under an Enterprise Agreement that was in force before that date. Only Windows Server 2019 and earlier is eligible. Windows Server 2022 is not eligible for BYOL on AWS or GCP regardless of Software Assurance status.

  Of DMG Media's 225 in-scope Windows servers:
  - 160 run Server 2019 (BYOL eligible, subject to EA chain verification)
  - 65 run Server 2022.

  Those 65 Server 2022 VMs cannot use DMG Media's existing Windows licences on AWS or GCP. Azure AHB has no such restriction and accepts Server 2022 BYOL normally. This materially affects the BYOL saving realised on AWS and GCP.

Oracle Paths

Oracle is the single largest cost variable. There are three paths, and they each have very different characteristics. The recommended path for DMG is Exadata@Cloud (Option A) as the primary way. PostgreSQL modernisation (Option C) is a deeper strategic decision that requires careful later phase planning.

Path	GCP Annual cost	AWS Annual cost	Azure Annual cost	Key points

A: Exadata@Cloud (primary path)	£514,908	£514,908	£514,908	All three clouds offer Oracle Database@Cloud in London. Oracle Database@AWS launched March 2026. Same OCI pricing across all three. Data layer stays on Oracle. Lowest migration risk.
B: Oracle on IaaS VMs (no RAC, Data Guard HA)	£745,944	£578,328	£578,328	DMG Media manages Oracle directly. Loses RAC. Uses Data Guard for HA. Cost varies by cloud because underlying VM pricing differs.
C: PostgreSQL modernisation	£619,104 (AlloyDB)	£452,244 (Aurora)	£382,788 (Flex Server)	Each cloud's managed PostgreSQL. All with HA. Requires significant application refactoring and PL/SQL conversion. Part 2 validation essential.

Important context for Option C (PostgreSQL): this is a Part 2 strategic decision, not a Part 1 action. Each hyperscaler has its own transformation support paths (AWS SCT and DMS, Azure Database Migration Service, Google Database Migration Service plus AlloyDB's Oracle compatibility mode). The saving potential is material, but the path requires: full DMA assessment of the Mail Online B-cluster (currently uncollected), per-cluster PL/SQL conversion scoping, application-by-application impact assessment, and business prioritisation.

Oracle support treatment under each path:

- **Option A (Exadata@Cloud, BYOL):** DMG Media must retain DMG Media's £650K per year Oracle support contract while using Exadata@Cloud. BYOL on Oracle requires active support.
- **Option B (Oracle on IaaS BYOL):** same. £650K per year retained.
- **Option C (PostgreSQL):** once Oracle is fully decommissioned, support can be dropped. This is the only path that eliminates the £650K per year support line. Reinstatement is penalised (150% of last fee plus back-support), so the decision to drop must be final. The saving potential is presented without the conversion cost to achieve it. PL/SQL conversion, application refactoring, testing, and cutover effort are not estimated in Part 1 and are a material factor in the Part 2 business case for the PostgreSQL path.

Atex Multicast Cost Impact

The Atex multicast constraint (architectural detail in Section 6) has a cost dimension worth noting here. On AWS, native Transit Gateway multicast adds a small charge (tens to a few hundred pounds per month at DMG Media's traffic profile) from attachment and data-processing fees. On GCP and Azure, the only native workaround is VMware-on-cloud (GCVE, AVS); post-October 2025 these require customer-provided VCF subscription licences on top, making that path materially more expensive than either the AWS native route or a vendor-led Atex unicast refactor.

The Complete View (London, 3-Year Committed)

This is the full picture: baseline compute and storage, operating system licensing, storage tiering savings, Windows BYOL, SQL Server BYOL, RHEL BYOL (via License Mobility on AWS and GCP, AHB on Azure), Oracle Exadata@Cloud (Option A), Oracle support retained under BYOL, and indicative internet egress. Complete View assumes Microsoft Software Assurance in place for both Windows Server and SQL Server. All component lines are annual.

Cost (annual)	AWS	GCP	Azure
Cloud Consumption Costs			
Cloud infrastructure (3yr committed: compute, storage, OS, network)	£2,283,419	£2,243,685	£3,298,566
Oracle Exadata@Cloud	£514,908	£514,908	£514,908
Hyperscaler support (Enterprise)	£200,609	£224,369	£271,670
Internet egress (illustrative, 100TB/mo)	£70,668	£75,288	£57,984
Services costs carried into cloud in 'lift & shift' – reduce by transformation			
DB management, security tooling, Oracle support, Ubuntu patching, MS support	£1,761,888	£1,761,888	£1,761,888
OS/DB License costs carried into Cloud – offset with BYOL discount			
Licensing (Windows, SQL, RHEL)	£326,793	£326,793	£326,793
BYOL discount applied	-£339,492	-£329,268	-£441,000
Additional Optimisation			
Storage tiering (non-prod to HDD)	-£123,132	-£223,236	-£119,568
Lift & Shift Cloud Cost (Pre-Transformation)	**£4,695,661**	**£4,594,427**	**£5,671,241**

Note: SQL Server assumed as BYOL in baseline (SA + License Mobility); avoids approximately £15K per month GCP, £14K per month each AWS/Azure of cloud-provider license-included surcharge.

Complete View with indicative egress is the reference number for client comparison. The 100TB per month is illustrative; actual DMG Media egress depends on Akamai CDN cache hit rate and origin traffic patterns and can be quantified by Part 2 given traffic flow data.

GCP remains the cheapest by approximately £101k Annually over AWS (around 2.1%). Azure sits approximately £1.1M annually higher than GCP, still driven mainly by the **sizing** methodology gap rather than by pricing. Azure does offset part of this through the strongest Windows BYOL mechanism (AHB).

Notes on what is excluded:

Status Quo: On-Premises Baseline

For the business case, the cloud figures must be compared to the cost of doing nothing. DMG Media's updated IT Costs workbook captures the on-premises annualised cost at £3.64 million per year (approximately £303,000 per month). This is the first time the hardware and storage capital expenditure has been populated:

Category	Annualised	Notes
Compute and storage (capex depreciated over 5 year + maintenance)	£547,761	Server hardware capex £1.26M, storage capex £1.45M
Software licensing	£1,440,681	Includes Oracle support (£650K), SQL (£119K), Windows (£137K), Linux (£91K), security tooling (£444K worst case - this is the full Tenable and Guardicore contract value, which covers approximately 4,000 endpoints including desktops. The server-only portion has not been separated. The actual on-premises cost attributable to the in-scope servers is lower. Part 2 should split this figure to produce a more precise baseline)
Facilities and network	£879,900	Reading, Slough, Sydney, inter-site, internet
Operations	£688,000	NCS database support (£568K), vendor support, 1 FTE infra management
Contracts and commitments	£80,000	Microsoft Bluesource support
Grand total	£3,636,342	Per year

This figure is the on-premises anchor. It does not include the Broadcom VCF subscription cost that will apply when new or expanded VMware hosts are needed, nor does it include the next hardware refresh cycle. The true cost of remaining on premises is higher than £3.64 million per year and rising.

The Complete View

The annualised cloud cost is £4.59M on GCP, £4.70M on AWS, and £5.68M on Azure. These are lift-and-shift figures: every workload moved as-is. This is the starting point, not the destination.

Four factors close the gap between these figures and the on-premises baseline:

- The on-premises baseline (£3.64M) is incomplete. Broadcom VCF, hardware refresh, and security exposure from unsupported VMware are excluded. The true on-premises cost is higher and rising.
- £1.76M of operational cost carries forward at today's rates. This is the largest cost-saving lever available. Transformation to cloud managed services, cloud-native security, and re-platforming will reduce this significantly.

- Hyperscaler credits and discounts are not yet applied. These reduce the cloud figure further and are covered below. Negotiation for best pricing will also happen.
- The cost advantage is built through transformation, not as-is migration. Lift-and-shift establishes the platform. Part 2 maps the path to optimised cost.

The funding estimates below are calculated from each hyperscaler's standard funding programmes applied against the 3-year reserved consumption figures in this report. They are indicative. Each funding application is bespoke and subject to formal approval from the respective hyperscaler. The actual amounts will be confirmed during Part 2 as the workload profile is refined and commercial terms are negotiated. Azure funding estimates are pending.

	AWS	GCP	Azure
Total Cloud Spend (3-year Reserved yearly)	$ 3,024,396	$ 2,243,685	$ 4,368,962
Total Cloud Credits (B) (discount against DMG Media's consumption)	$ 756,099	$ 745,192	TBC
Total funding in GBP ***FX Rate: 1 USD = 0.755 GBP***	£ 570,854*[2]	£ 562,619*	TBC

The funding calculations presented in the table above, are based on the following assumptions & considerations

- 3-years Reserved yearly cloud consumption in USD for London region is taken as a baseline for this calculation, in alignment with the general funding/incentive program provided from the respective Hyperscalers.

- The estimated cloud consumption & the commensurate funding provisions thereof, is likely to change, as per the findings from the upcoming Part 2 assessment.

- Please note at time of publishing, no information was available from Microsoft, though they will likely make some funding available.

- Currency conversion at market prevalent rates 1 USD = 0.755 GBP

[2] *These figures are indicative, based on established funding programmes, and subject to formal approval.

Section 6: Business and Application Fit

What This Section Does

This section shows how DMG Media's applications map to cloud. What constraints they carry, how they group for migration, and where the gaps are. It is about the applications themselves, not about which cloud wins. That is Section 7.

How Applications Were Assessed

Each of the 39 applications was assessed against four criteria:

- **Infrastructure fit**: the underlying platform (VMware, Proxmox, physical, appliance, cloud) and what each cloud needs to support it
- **Database dependency**: Oracle RAC, SQL Server edition, MongoDB, MySQL, PostgreSQL, Redis
- **Operating system**: Linux family and version, Windows version, special cases (Solaris, AIX if any)
- **Known technical constraints**: multicast, bare metal, specific licensing requirements, vendor certification of cloud platforms

The 39 applications were then grouped into migration cohorts based on readiness, dependencies, and complexity.

Technical Constraints

Three constraints shape the migration approach. Each is explained below with what it means for cost and the recommended path.

Multicast (Atex Prestige)

Atex Prestige uses multicast for PrManager cluster node discovery. Multicast is a LAN-era pattern. Cloud virtual networks handle it differently:

AWS supports multicast natively via Transit Gateway (generally available in London).

GCP and Azure do not support multicast natively. VMware-on-cloud (GCVE, AVS) is not a viable workaround for DMG Media, because the VMware exit is itself a driver for this engagement.

This means Atex has two practical paths on GCP or Azure: refactor to unicast (Atex vendor confirmation required) or stay on AWS. AWS is the default path for Atex unless unicast refactor is confirmed. This is a Part 2 action with direct architectural consequence.

Oracle RAC

Six physical Oracle RAC servers across four clusters (Mail Online A, Mail Online B, Atex, CHP). RAC requires shared storage and specific cluster interconnect features that a general-purpose cloud VM does not provide. All three clouds now offer Oracle Database@Cloud (Exadata) in London: Azure (launched earlier), GCP (launched in 2025), AWS (launched March 2026). Same OCI pricing across all three. Details in Section 5.

SQL Server Datacenter Edition

Reading DC runs Datacenter edition, Slough runs Standard. Datacenter is materially more expensive per core when priced license-included. BYOL with Software Assurance zeroes out this surcharge. Azure AHB is the simplest mechanism. AWS and GCP require Dedicated Hosts or Sole Tenant Nodes respectively. Windows Server 2022 has additional BYOL restrictions on AWS and GCP (see Section 5).

The 7Rs, Explained

The 7Rs are the standard classifications for what to do with an application when migrating to cloud:

1. **Retire:** the application or server is no longer needed, decommission it.
2. **Retain:** keep it where it is (on-premises) for now.
3. **Relocate:** move it to a cloud-hosted hypervisor that mirrors the on-premises environment.
4. **Rehost:** lift and shift to cloud VMs. Minimal change.
5. **Replatform:** move to cloud with modest changes (for example, managed database instead of self-managed, or upgrading operating system to the latest version.)
6. **Repurchase:** replace with a SaaS equivalent.
7. **Rearchitect/Refactor:** re-engineer the application to use cloud-native services.

A per-application 7R classification across the full estate is a Part 2 activity. What can be done now is highlight areas that stood out during the workshops as candidates for each category.

Areas Of Interest From The Workshops

The following application-level opportunities emerged during the nine application workshops. They are framed as starting points for Part 2 discussion, not as finalised 7R decisions.

- **Retire candidates:** IBM Lotus Notes (legacy collaboration, SaaS replacement natural path), Atex 5.5 (32-bit, incompatible with modern cloud VMs, retire when Atex 6 complete), Mediaplanner (aging custom tooling).
- **Repurchase candidates:** IBM Lotus Notes replacement (Microsoft 365 or Google Workspace). SolarWinds and Zabbix can be replaced by cloud-native monitoring as part of landing zone build.
- **Replatform candidates:** the 33 SQL Server instances are candidates for managed SQL (Cloud SQL, RDS, Azure SQL). Oracle is a special case covered in Section 5.

- **Rehost candidates:** Mail Online sub-components without tight Oracle coupling (many of the 91 identified sub-services). Standard business applications with modern OS. Shared services and tooling.
- **Rearchitect candidates:** Mail Online RTA (Real-Time Analytics) significantly overprovisioned. Kubernetes adoption path already started at DMG Media (PoC in flight).

The list above reflects application owner input captured during workshops and is indicative. Final 7R classification per application is a Part 2 activity.

Migration Cohorts

Applications group into five cohorts based on readiness, complexity, and dependencies. These are indicative at Part 1 level. Part 2 refines them into a detailed release plan.

Cohort	Description	Apps	Servers	Characteristics
Cohort 0 - Foundation	Infrastructure services that must exist before application migration	5	95	AD, monitoring, security, config management
Cohort 1 - Quick Wins	Low-complexity, low-dependency applications	13	63	Independent apps, well-discovered, clear cloud fit
Cohort 2 - Planned Migration	Moderate complexity with manageable dependencies	17	425	Some database dependencies, cross-app connections, mixed infrastructure
Cohort 3 - Complex Migration	High-complexity applications needing detailed planning	2	2,342	Mail Online (2,206) + WPS (136). Oracle dependency, 91 sub-services
Cohort 4 - Business Decision Required	Applications where a strategic decision is needed first	2	113	Atex (109) + InstantPress (4). Multicast, Oracle, vendor dependency

Co-Migration Groups

Discovery and workshops identified applications that must migrate together. Splitting them breaks data paths or operational coupling.

Group	Applications	Reason	Cohort
Mail Online Core	Mail Online + WPS	WPS is tightly coupled to Mail Online through sustained Oracle connections to the B-cluster, shared infrastructure dependencies, and operational workflows identified during the Mail Online workshop. Full coupling detail is in the Application Scoping workbook.	3

ECO3 and OneVision	ECO3 + OneVision Suite	OneVision reads from ECO3 courier database (SMB, port 445, network-confirmed)	2
Atex Publishing	Atex + InstantPress	InstantPress produces PDF output from Atex content	4

What This Means In Practice

- Mail Online defines the programme timeline. Any Part 2 plan that does not address Mail Online is incomplete.
- Cohort 4 (Atex, InstantPress) requires a decision before it can progress: unicast support on Atex, or accept the VMware-on-cloud cost. This is a small cohort but it blocks Atex migration to GCP or Azure entirely until resolved. AWS supports multicast.
- Quick wins exist. Cohort 1 is 13 applications, 63 servers, and deliverable early. These give DMG Media measurable cloud cost savings and operational experience before the complex work begins.
- Sydney datacentre is the smallest and most independent workload, with a flexible contract. It is a natural early-migration candidate and provides a DC cost offset proof point.

What Part 2 Will Address

- Per-application 7R classification across the full estate: Part 2 scope.
- Detailed PL/SQL conversion scoping for Oracle modernisation: Part 2 scope, highest value workstream.
- Deep dependency mapping for Mail Online's 91 sub-components: Part 2 scope.
- Validation of workshop findings with application owners who were not available during Part 1: Part 2 scope.
- Atex vendor engagement on unicast support: Part 2 action with direct cost impact.

How these application constraints and cohort groupings map to the three cloud platforms is the subject of Section 7.

Section 7: Hyperscaler Recommendation

What This Section Does

This section reaches the conclusion. It draws on the cost evidence in Section 5 and the application fit evidence in Section 6 to make a clear platform recommendation for DMG Media. The scoring summary below shows how each cloud performed across the weighted evaluation criteria. The recommendation that follows is the one Rackspace believes best fits DMG Media's situation, and why.

Weighted Scoring Summary

The weighted hyperscaler scoring was applied across thirteen strategic goals which are aggregated from 57 underlying value dials, with per-dial detail in Appendix B., with weightings DMG Media signed off at the start of the engagement. Scoring was refined during Part 1 as commercial data arrived and practical constraints were validated.

Strategic Goal	DMG Priority	AWS	Azure	GCP	Winner	Notes
Uptime	High	4.2	4.2	4.2	Tied	All three offer 99.99% SLA at multi-zone deployment.
Reliability	Moderate	4.8	4.6	4.4	AWS	Longest operational track record, broadest service catalogue.
Scalability	Moderate	4.8	4.5	4.8	AWS / GCP	Both offer strong elastic demand handling.
Security	Moderate	4.3	4.8	4.6	Azure	Azure Entra ID and Sentinel strongest.
Performance	High	4.7	4.3	4.3	AWS	Best for HPC and specialist compute workloads.
Business Analytics	Moderate	4.3	4.2	4.5	GCP	BigQuery is the clearest native advantage.
Transparency	Moderate	4.0	4.0	4.2	GCP	Marginal advantage, not decisive.
Cost	Very High	4.7	3.8	4.2	AWS	TCO dial reflects Complete View.
Sovereignty	Moderate	3.7	3.7	3.4	AWS / Azure	AWS and Azure offer broader UK data residency options
Business Fit	Moderate	4.6	4.5	3.9	AWS	Partner ecosystem, enterprise relationships, skills market.
Sustainability	Low	3.3	4.0	5.0	GCP	Genuine differentiator but low weight
Licensing	High	3.5	4.3	3.3	Azure	Microsoft licensing ecosystem advantage

Velocity	High	4.6	4.6	4.6	Tied	All three closely matched across DevOps, IaC, and managed services
ABSOLUTE SCORE		**912.0**	**880.0**	**884.0**		
PLACING		**1st**	**3rd**	**2nd**		

Overall fit against DMG Media's weightings (% of maximum possible AWS 88%, Azure 85%, GCP 85%. AWS leads by 3 percentage points over Azure and GCP.

Three observations on the matrix:

1. AWS leads the weighted scoring at 88% (912 points), ahead of Azure at 85% (880 points) and GCP at 85% (884 points). AWS holds a consistent edge across the categories that carry the most weight for DMG Media.
2. Scoring refinements applied during Part 1 include: Uptime parity confirmed across all three, TCO dial updated to reflect actual Complete View numbers, Windows Server 2022 BYOL restrictions on AWS and GCP captured in BYOL Flexibility, AHB practical benefit to DMG Media's use case scored as low in Hybrid Licensing Benefits (Azure Migrate's own recommended SKUs are almost all below the AHB 8-core minimum, with only 9 of 234 Windows servers at 8 vCPU or above).
3. Each cloud has genuine strengths: Azure on Security and Licensing mechanism, AWS on Reliability, Performance, Cost, and Business Fit, GCP on Business Analytics, Transparency, and Sustainability.

The matrix tells DMG Media that all three clouds are technically capable of hosting this environment. Three factors outside the weighted scoring tip the recommendation.

The Recommendation

Primary platform: AWS.

The recommendation rests on four reinforcing factors: scoring, cost, technical constraints, and ecosystem fit. In most assessments, these factors pull in different directions and the recommendation involves trade-offs. In DMG Media's case, they converge. AWS leads the weighted scoring, is within 2% of the cheapest cloud on cost, is the only platform that handles DMG Media's hardest technical constraint natively and has the deepest partner ecosystem for the operating model DMG Media intends to adopt. That alignment is what gives the recommendation its confidence.

AWS leads the weighted scoring at 88% (912 points) against Azure at 85% (880) and GCP at 85% (884). AWS is first or joint-first on the categories that carry the most weight for DMG Media: Cost (Very High priority), Performance (High), Reliability (Moderate), and Business Fit (Moderate). Azure's strengths in Security and Licensing are genuine but sit in moderate-priority categories and do not close the gap. GCP's standout on Sustainability carries low priority weight.

On cost, GCP is the cheapest cloud on list pricing at £4,594,427 annually, AWS is within 2.1% at £4,695,661. Azure sits 24% higher at £5,671,241. The difference between GCP and AWS is approximately £101K per year at list price. In practice, that gap is expected to narrow or close once commercial terms are applied: AWS operates the most mature discount and migration funding programs in the market (MAP credits, Enterprise Discount Program, partner-funded resources), and the scale of DMG Media's commitment gives meaningful negotiation leverage. Azure's cost premium of approximately £1M per year over AWS is structural, driven by its sizing methodology and premium storage pricing, and its near-identical scoring does not justify that gap. Oracle is identical on all three clouds (Exadata@Cloud, same OCI pricing) and is not a differentiator.

DMG Media's estate is characterised by tightly coupled, infrastructure-dependent applications with hard dependencies on networking, storage, and compute patterns that each cloud platform handles differently. AWS provides the broadest technical flexibility across these patterns, minimising rework for the widest range of workloads.

The most visible constraint is Atex, which requires multicast networking. AWS is the only platform that supports multicast natively (via Transit Gateway). GCP and Azure do not. The workaround (VMware-on-cloud overlays: GCVE on GCP, AVS on Azure) contradicts DMG Media's VMware exit strategy. That leaves GCP and Azure with two options for Atex: a vendor-dependent unicast refactor, or accept Atex cannot migrate as-is. AWS sidesteps this entirely. Atex represents 3.6% of the in-scope estate, but the constraint is binary: it either works or it does not.

Atex is not an isolated case. Across the estate, tightly coupled applications with infrastructure-level dependencies are common, and AWS consistently accommodates more of these patterns without architectural compromise. AWS also provides the strongest application modernisation pathway, giving Customer a clear route from lift-and-shift through to containerisation, managed services, and serverless as the estate matures.

The estate is predominantly Linux, which runs well on all three clouds but gains no advantage from Azure's Windows-centric licensing model. Azure Hybrid Benefit applies to only 234 of 3,038 in-scope servers (7.7%).

Video streaming already runs on AWS Elemental in live production. Moving it creates cost and risk without benefit.

AWS has the largest partner and skills market across all segments, including media. This matters because DMG Media's indicated operating model is partner-assisted with upskilling, not a fully self-managed build. AWS direct-connect is already configured to the on-premises estate. Several teams already have working knowledge of AWS services.

The Windows Server 2022 BYOL trade-off is manageable. Microsoft's Listed Provider rules block Server 2022 BYOL on AWS and GCP. Azure AHB accepts Server 2022, but Azure Migrate's own recommended SKUs for DMG Media's Windows estate are almost all 2 vCPU. Only 9 of 234 Windows servers have Azure-recommended SKUs at 8 vCPU or above. Under AHB's eight-core minimum rule, the other 225 servers would consume eight license cores each to cover a one or two vCPU workload, wasting license capacity. Azure's AHB advantage at DMG Media's actual sizing is close to nil in practice.

The trade-offs are managed. Analytics stays on GCP (validated exception). Azure's security advantage is addressable through cloud-native security tooling on AWS without paying Azure's cost premium. First on scoring, second on cost, first on constraints: AWS is the strongest overall position.

Exceptions and Retained Placements

A single-platform recommendation does not mean a single-platform estate. Two specific exceptions are validated by evidence:

- **Commercial data analytics stays on GCP.** DMG Media already run this on GCP. BigQuery's serverless analytics, tight integration with DMG Media's existing data pipelines, and the operational knowledge DMG Media's team has built are genuine assets. Moving this to AWS creates cost and disruption for no benefit. Retain.
- **Video streaming stays on AWS.** Mail Online's video workflows use AWS Elemental today. This is a working service, not a future decision. Retain.
- **Azure workloads remain.** None identified at this stage.

This is 'primary platform with validated exceptions', not full multi-cloud strategy. The test for an exception is: does a specific workload have a material technical or operational advantage on another cloud, and is that advantage persistent?

What The Recommendation Means In Practice

- Primary cloud for new workloads: AWS
- Target for migration of the 3,038 in-scope servers: AWS (except retained items)
- Commercial data analytics: continues on GCP
- Video streaming: continues on AWS (already there)
- No wholesale multi-cloud operation. The Cloud Platform Team builds one landing zone (AWS), operates one primary cloud, and manages the GCP analytics environment as a secondary estate.

Mail Online Needs Joint CPO and CTO Sponsorship

Mail Online is the largest application in scope and the commercial centrepiece. Because its product decisions sit with the CPO and its infrastructure sits with the CTO, the Mail Online migration path touches both executive domains. Specific decisions that benefit from dual endorsement: the Oracle modernisation path, sub-component sequencing, and any re-architecture choices.

Structuring programme governance with both sponsors visible from the start reduces the risk of mid-programme misalignment.

A Note on Confidence Level

The scoring spread is very narrow.

Expressed as fit against DMG Media's weightings:

- AWS 88%
- Azure 85%
- GCP 85%

The total spread from highest to lowest is 3 percentage points.

Cost positions GCP cheapest, AWS close to GCP, Azure materially higher.

The hard constraints (Atex multicast, video streaming continuity) point to AWS, and the Windows Server 2022 BYOL trade-off on Azure is narrowed in practice by AHB's 8-core minimum against DMG Media's SKU profile.

Rackspace is confident on AWS primary because the weighted scoring, the cost position, and the hard constraints all point in the same direction.

Even if Atex confirms unicast support for Prestige 6X, moving Atex to unicast is itself a workstream with its own configuration, testing, and cutover cost. On AWS, Atex migrates without that rework because multicast is supported natively. The recommendation is therefore resilient rather than fragile.

Section 8: How Ready Is DMG Media

What This Section Does

Readiness is about where DMG Media is on the journey to cloud maturity, not whether cloud is the right choice. This section assesses DMG Media's current state across five dimensions, describes the target, and lists the gaps that Part 2 and the early programme need to address.

The Readiness Scale

Each dimension is scored from 1 to 5:

1: No activity or planning in place

2: Early awareness, some informal activity

3: Documented approach, not consistently applied

4: Consistent practice, actively managed

5: Optimised, measured, continuously improved

The scale measures cloud-adoption readiness specifically. It does not capture overall team capability or enterprise domain expertise. DMG Media's infrastructure organisation has deep experience in VMware, Oracle, physical networking, F5 load balancing, and on-premises Windows/Linux operations. Those strengths are not what this assessment scores.

The scale is a maturity indicator, not a grade. Organisations running on-premises enterprise estates typically sit between 1 and 3 on this scale before a cloud transformation. Getting to 4 across the board is the outcome of the first phase of transformation, not a precondition.

Scores were produced from a structured cloud-readiness questionnaire completed during workshops with DMG Media's technology leadership and validated against discovery findings

Current State

Dimension	Areas assessed	Average score	Current state summary
Business	10	2.5	Business objectives clarity is strong, and cloud/hypervisor strategy is in flight (this engagement). Weaker on operating model definition and value management.
Governance	3	3.0	CMDB is reasonably maintained; service delivery management is documented; supplier management is mature. Highest-scoring dimension.
Operations	4	1.8	Disaster recovery planning and cross-brand monitoring consistency are the main gaps.
People	4	1.2	Cloud-specific skills and training are at the earliest stage: no formal cloud training plan yet,

			Cloud Centre of Excellence boundaries still forming.
Security	3	2.0	CISO is engaged in cloud decisions. Shared responsibility model and cloud-native GRC practice are early-stage.

Overall readiness: 2.1 of 5. Consistent with an organisation at the start of its cloud journey.

What Each Dimension Means In Practice

Business (2.5)

DMG Media's business objectives are clear: one million Mail Online subscribers, tech stack standardisation, operational refreshes, consolidation onto virtual platforms, flexibility for projects with partner support, CapEx to OpEx. DMG Media have hypervisor and cloud strategy assessment in flight (this engagement).

The gaps: cloud objectives commitment (specific workloads, committed timelines), value management (CFO, COO, CISO buy-in beyond the CTO), IT strategy explicitly linking cloud to business outcomes.

The CTO is making the case across the business. The gap is translating that into a documented IT strategy with signed-off investment and capability-building plan.

Governance (3.0)

DMG Media's strongest area. DMG Media have a reasonably maintained CMDB, documented service delivery management, and mature supplier relationships with AWS, Azure, and GCP (though the AWS relationship follows a 'cloud island' model rather than a governed landing zone). Portfolio management and application inventory practices exist. Update cadence could be tighter.

Operations (1.8)

This is where the fragmentation described in Section 3 shows up operationally:

- **Disaster recovery planning**: captured in the Cloud Readiness Assessment questionnaire (ranked 1/5), where application owners noted they often cannot clearly distinguish high availability, backup, and business continuity in their DR planning.
- **Operating model**: multiple third parties operate across the estate (NCS for databases, outsourced SOC for security monitoring, web caching vendor support, COTS vendor dependencies). Each adds coordination overhead.
- **Monitoring**: not consistent across brands. SolarWinds, Zabbix, application-specific tooling.
- **Change management**: workshops and stakeholder interviews confirmed that formal change process exists but is applied inconsistently across business areas.

People (1.2)

Lowest score. No formal cloud training plan. A Cloud Centre of Excellence has not been formed, though the infrastructure team manages cloud accounts today with boundaries and processes that need development. Roles and job descriptions have not been adapted for cloud delivery. The implication: even if infrastructure moves to cloud, the operating model for running it is not yet in place.

This is addressable but requires time and investment. Partner-assisted during transition, progressively upskilling DMG Media's own teams, is the typical path.

Security (2.0)

The CISO is engaged in cloud decisions. Shared responsibility in cloud is not yet well understood within the teams who will operate workloads. Governance, risk, and compliance practice is early-stage. Packet inspection exists on internet-facing traffic but not internally. Privileged Access Management (PAM) tooling is not standardised.

A focused security assessment is recommended for Part 2 rather than inferring security posture from the current five-dimension questionnaire.

Target State and The Gap

Dimension	Current	Target (12-month)
Business	2.5	4.0
Governance	3.0	4.0
Operations	1.8	3.0
People	1.2	3.0
Security	2.0	4.0

Current state average is approximately 2.1. Target average approximately 3.6. The gap is what Part 2 and the early programme phases address.

Practical Readiness Issues

- **Legacy operating systems**: approximately 1,960 servers (roughly two-thirds of the in-scope estate) run OS versions past standard end-of-life.
- **Servers without VMware Tools**: 1,227 servers without guest-level data collection.
- **Dual-zone naming convention**: .int and .hsk domains creating DNS planning complexity.
- **Standardised access**: different credential stores and access patterns per business area.

Risks Specific To Migration

- **Oracle knowledge dependency**: Mail Online Oracle database team owns significant operational knowledge. Any migration path requires their active engagement. Key-person risk applies.

- **Third-party dependencies**: NCS manages SQL Server and Oracle for CHP, Atex, and Circnet. Migration coordination with NCS is a governance item that affects timeline.
- **Application ownership across executives**: Mail Online migration decisions span two executive domains (see Section 7).
- **Operating model during transition**: the seven-area operating model will continue running alongside the new cloud landing zone during migration.

Section 9: Challenges

What This Section Does

Each challenge below is what Rackspace found during discovery and workshops. Each item says what it is, why it matters for DMG Media, and what to do about it. Where the scale or effort can be quantified, it is. Where it cannot be, it is flagged honestly.

Estate Complexity

What was found: the estate is more varied than the SoW scoped. The SoW assumed 2,300 servers across VMware. Actual discovery found 4,500+ servers across five infrastructure types (VMware, Proxmox, physical bare metal, appliance, cloud). Mail Online alone has 91 interdependent sub-services. Oracle RAC clusters span multiple physical nodes. Atex uses multicast for cluster discovery, a protocol that cloud virtual networks do not natively support. Database management is split between DMG Media's internal team (Mail Online Oracle) and a third-party provider (NCS for CHP, Atex, Circnet, SQL Server). Mail Online's dual executive ownership is covered in Section 7.

Why it matters: complexity affects timeline, cost, and risk. Each infrastructure type needs a different discovery, assessment, and migration approach. The dual-ownership flagged for Mail Online (Section 7) must be reflected in programme governance from day one, not resolved mid-programme.

What to do about it: Part 2 must be multi-workstream, not a single sequential plan. The dependency map across applications, data, and business ownership is the input to the release plan.

Legacy Operating Systems

What was found: approximately 1,960 servers (nearly two-thirds of the in-scope estate) run operating system versions past their standard end-of-life dates. The largest groups are Ubuntu 14.04 (~1,120 servers, EOL 2019), Ubuntu 16.04 (~604, EOL 2021), and Ubuntu 18.04 (~75, EOL April 2023). Smaller groups include RHEL 6 (~140, EOL 2020), RHEL 5 (~8), and Solaris 10 (15). The Ubuntu versions may be receiving security patches via Ubuntu Pro / Extended Security Maintenance (the £20K per year Ubuntu patching line in IT Costs may cover this). Most of the Ubuntu legacy sits inside Mail Online given its Ubuntu base. Solaris is called out separately below.

Why it matters: legacy OS servers cannot be lifted directly to cloud. They must be re-platformed to a supported version first. This is a per-server activity, not a batch operation, and adds to the migration timeline and effort. At nearly two-thirds of the in-scope estate, this is a material scope item for Part 2 sequencing.

What to do about it: Part 2 quantifies the exact per-application impact and the indicative effort per server. Replatforming happens during migration or as a pre-migration activity, depending on the cohort. Ubuntu Pro / ESM status should be confirmed formally as part of the Part 2 intake.

Standardised Access

What was found: different credential stores, different access patterns per business area. During discovery, WMI was blocked on the ANL Windows estate, so collection ran through VMware Tools guest operations via vCenter. The initial run used a domain admin account, which caused VGAuth (VMware Tools' guest authentication) to round-trip to the domain controller every minute per VM, producing CPU spikes on target VMs. Switching to a locally-provisioned admin account on each VM removed the DC round-trip and stabilised collection.

Why it matters: cloud access control depends on federated identity and privileged access management. Multiple credential stores means multiple places to federate from, multiple places where access drift can occur, and higher audit overhead.

What to do about it: PAM tooling (CyberArk or equivalent) evaluation and landing zone IAM design are early programme activities. Consistent administrator access patterns should be a landing zone decision, not a per-application decision.

VMware Tools Coverage

What was found: 1,227 of 3,038 servers do not have VMware Tools installed or have outdated versions. Guest-level performance and dependency data is unavailable for these servers.

Why it matters: sizing and dependency mapping rely on guest-level data. Where it is missing, pricing uses provisioned specifications (slightly conservative for VMs, accurate for bare metal) and dependency maps cannot see out-bound connections.

What to do about it: Detailed remediation plan required for the out of support / incompatible operating systems, during part 2 of the Cloud Readiness Assessment.

Skills Gap

What was found: the cloud-specific capabilities that Part 2 and migration execution require are at an early stage across the 170-person technology organisation. Specifically: cloud platform engineering (landing zone, IAM, networking), Infrastructure-as-Code (Terraform or cloud-native equivalent), container orchestration at production scale (a Kubernetes PoC exists; production operation is not yet established), cloud security (cloud-native firewalling, identity federation, secrets management), FinOps, and DevOps automation. These sit alongside deep existing expertise in VMware, Oracle, F5, and editorial engineering that the programme will continue to depend on.

Why it matters: each of these capabilities is needed during migration, not after it. The programme cannot begin landing zone build, cohort migration, or cloud security without them.

What to do about it: the practical path is partner-assisted transition with concurrent upskilling. Migrate and train at the same time. External capability carries the specialist load from the start of Part 2; DMG Media's internal team works alongside that capability cohort by cohort, absorbing the practice during delivery. The end state is DMG Media-led operation with internal cloud capability built in-flight.

Naming Conventions

What was found: servers use both .int and .hsk domain suffixes, with the same physical server registered under both zones.

Why it matters: cloud DNS supports custom private zones with arbitrary suffixes, so the dual-zone pattern itself works in cloud without modification. The complexity is in migration coordination: inventory reconciliation, discovery filtering, external systems that hardcode one suffix, and hybrid-state DNS resolution.

What to do about it: DNS strategy is a landing zone design decision for Part 2. The choice is whether to preserve the dual-zone pattern in cloud (extra records, lowest change to dependencies) or collapse to a single canonical zone (cleaner long-term, requires updating every downstream dependency).

Oracle Complexity

What was found: the Oracle estate carries operational complexity beyond its cost profile. The Mail Online B-cluster (production primary) has no DMA assessment data; its sizing is based on provisioned hardware specification only. Cross-cluster decisions need coordination between the internal Mail Online DBA team and NCS (which runs CHP, Atex, and Circnet Oracle).

Why it matters: without DMA on the Mail Online B-cluster, sizing the biggest database remains provisioned-hardware-based. The split between the internal team and NCS means coordination is not purely technical. Programme sequencing must respect the Mail Online DBA team's BAU load.

What to do about it: DMA assessment of the Mail Online B-cluster is the highest-priority Part 2 action. Oracle migration paths and associated costs are in Section 5.

SQL Server Database Consolidation

What was found: SQL Server instances host databases for multiple applications with cross-database queries between them. Workshop input was explicit: 'Multiple databases for multiple apps on DBServers. Decoupling will be a challenge.' Power BI Report Server licences are tied to the physical SQL Server hardware.

Why it matters: a clean PaaS move to Cloud SQL, RDS, or Azure SQL depends on per-database decoupling. Applications that rely on three-part naming or linked server calls between databases on the same instance will need refactoring. Power BI Report Server is hardware-tied and does not move cleanly to cloud as-is; Power BI Service (cloud) is a separate licensing model.

What to do about it: per-instance assessment and refactoring analysis are scoped in Part 2 (Section 11).

Solaris Legacy Stack

What was found: several applications are recorded with Solaris as operating system, including Mail Online sub-components (Mobile, Content), Wikidata, and ESCC.

Why it matters: Solaris is not natively supported as a guest operating system on AWS, Azure, or GCP. Oracle Cloud Infrastructure is the only hyperscaler with native Solaris support. Any Solaris-hosted workload must be either replatformed to Linux before migration, kept on-premises during transition, or retained on Oracle-specific infrastructure.

What to do about it: Part 2 Solaris inventory to confirm exact version and workload. Solaris should be called out explicitly in the Part 2 release plan rather than grouped with general legacy OS activity.

Hardcoded IP Addresses In Legacy Integrations

What was found: ECO3 workshop input confirmed 'ECO3 had used hardcoded IPs to avoid DNS issues'. Other applications also reference load balancer IPs and third-party whitelists by specific address.

Why it matters: hardcoded IP addresses do not translate directly to cloud. Cloud VPCs assign IPs dynamically or via DNS. Any inbound integration that whitelists specific IP addresses must be re-established against cloud IP ranges or DNS.

What to do about it: Part 2 scope includes per-application IP dependency audit. For each hardcoded IP: replace with service name or DNS, or establish an equivalent cloud static IP and update the downstream integration.

What The Challenges Do Not Affect

It is worth saying what these challenges do not change:

- **The overall cloud recommendation.** None of these challenges makes cloud a bad idea. They shape the migration approach, not the destination.
- **The business case**. The savings potential in Sections 5 and 10 stands. The challenges affect timeline and approach, not outcome.
- **DMG Media's ability to succeed**. The challenges are addressable with the right programme structure, and are similar in kind to what most enterprise cloud transformations carry at this stage.

Section 10: Opportunities

What This Section Does

Each opportunity below is specific to DMG Media's estate. Each item says what it is, what it saves or enables, what is needed to pursue it, and what Part 2 would validate.

Database Migration to Managed Services

Moving databases from self-managed infrastructure to managed cloud databases. Eliminates operational overhead for patching, backups, HA failover. For Oracle specifically, a move to PostgreSQL-compatible managed services also removes the licensing entirely. For SQL Server, managed services reduce operational burden and potentially reduce licensing through cloud-native BYOL mechanisms.

DMG Media’s starting point: DMG Media are already testing PostgreSQL as an Oracle replacement. The blocker is business prioritisation, not technical capability. DMG Media’s 49 SQL Server instances are currently managed in-house and by NCS.

Overprovisioned Instances (Mail Online RTA)

Mail Online's Real-Time Analytics application contains many significantly overprovisioned instances identified during discovery. Right-sizing during migration, rather than lifting as-is, produces an immediate cost saving with minimal risk. The utilisation data proves the current allocation exceeds demand. Part 2 produces precise sizing recommendations per instance.

Load Balancing Modernisation

- Replacing hardware load balancers (F5 for corporate, Zeus/Ivanti vTM for Mail Online) with cloud-native load balancers. Benefits include: no hardware lifecycle management, auto-scaling tied to traffic, native integration with cloud monitoring, global load balancing for multi-region deployments, and material cost reduction.
- Per-cloud options: GCP Cloud Load Balancing; AWS Application Load Balancer, Network Load Balancer, Global Accelerator; Azure Front Door (global with integrated WAF), Azure Load Balancer, Application Gateway.

Oracle Modernisation to PostgreSQL

- Detailed path analysis is in Section 5 (primary recommendation: Exadata@Cloud for risk reduction, PostgreSQL as a Part 2 strategic decision).
- This saving comes primarily from eliminating the £650K per year Oracle support contract. The infrastructure cost reduction is secondary. The conversion cost to achieve this saving (PL/SQL migration, application refactoring, testing) is not estimated in Part 1 and is a material factor in the Part 2 business case. This is the largest single cost item DMG Media have.
- DMG Media are already testing PostgreSQL, which demonstrates organisational appetite.

- It is a strategic decision, not a tactical one. Each hyperscaler has transformation support paths. Part 2 validates the effort, risks, and cost through a per-cluster assessment.

VMware and Broadcom Contract Exit

Detailed position in Section 3 (Broadcom KB 429208 reference). Migrating to cloud before the Broadcom position forces a VCF subscription decision eliminates that cost pressure entirely. It also removes dependency on a vendor whose pricing strategy has become unpredictable.

Application Rationalisation

Applications that are candidates for retirement or SaaS replacement rather than cloud migration. Every application retired is servers removed from migration scope.

- **Atex 5.5 (Legacy):** 32-bit architecture incompatible with modern cloud VMs. Candidate for retirement once Atex 6 migration is complete. Removes approximately 5 TB of Oracle storage.
- **IBM Lotus Notes:** legacy collaboration platform. SaaS replacement (Microsoft 365 or Google Workspace) eliminates the infrastructure entirely.
- **SolarWinds and Zabbix:** current monitoring tools. Cloud-native monitoring replaces these as part of landing zone build.
- **Other candidates identified by application owners:** Wombat, Mediaplanner, Landscape, Fingerpost reporting tools. Each needs owner validation before retirement.

Sydney Datacentre Quick-Win

Sydney datacentre operates on a flexible contract with no exit penalty. The CSP application (CHP Sydney) runs on approximately four servers with approximately 0.4 TB of Oracle storage. Migrating Sydney early provides an immediate DC cost offset (approximately £40K per year) and serves as a low-risk proof point for the migration programme.

SQL Server Licensing Optimisation

SQL Server licensing is 40-60% of the effective cost for SQL workloads. SQL Server BYOL eliminates approximately £14-15K per month of surcharge across clouds. Further optimisation possible by moving to managed SQL services. NCS's current shared-hosting model is well optimised for core-based licensing. Any move to managed services should be assessed against this baseline to confirm the saving is real.

Infrastructure as Code and Automation

Adopting Infrastructure-as-Code (Terraform or cloud-native equivalent) as the default for all cloud resource provisioning from day one. Removes manual configuration errors, accelerates environment creation, makes the whole estate reproducible and auditable.

Observability Consolidation

Replacing SolarWinds and Zabbix with cloud-native observability (Cloud Operations, CloudWatch, Azure Monitor, or a cloud-agnostic tool like Datadog or Grafana Cloud). Delivers consistent monitoring across brands, same metrics and alerting patterns, tight integration with cloud platform services.

Akamai vs Cloudfront

CDN migration from Akamai to AWS CloudFront is a further opportunity. Rackspace has recent experience delivering Akamai-to-CloudFront migrations. AWS has identified this as a potential saving, with data transfer out costs reducing by 50-80% for web traffic. This should be investigated in partnership with AWS in a later phase

Summary of Opportunities

Quantified savings (modelled in Part 1)

- Oracle modernisation (£45-65K per month depending on cloud - Part 2 strategic decision)
- Windows BYOL (£7-18K per month depending on cloud, Software Assurance dependent)
- SQL Server BYOL (£14-15K per month across all three clouds if SA confirmed)
- Storage tiering (£10-19K per month depending on cloud)
- Overprovisioned instance rightsizing (quantified during Part 2)

Qualitative opportunities (Part 2 to quantify)

- Application rationalisation (Lotus Notes, Atex 5.5, monitoring tools)
- Load balancing modernisation
- Sydney DC quick-win
- Infrastructure as Code and automation
- Observability consolidation

Section 11: Moving Forward and Part 2

What This Section Does

This section answers 'so what, now what'. It covers the business case, decision guidance for the hyperscaler presentations DMG Media is about to receive, the foundational actions needed to prepare for migration, the concrete shape of Part 2, and the risk of not proceeding.

The Business Case

The current on-premises estate costs £3.64M per year. That is today's cost, not tomorrow's. Staying on-premises adds the Broadcom VCF subscription (confirmed as required, not yet priced), the next hardware refresh cycle (the HPE estate is approaching end of life), and continued renewal of Microsoft EA and Oracle support contracts with no downward pressure on either. Beyond cost, it means continuing with fragmented support across seven operating areas, limited scalability, unpatched VMware infrastructure, and no path to reduce operational complexity. The cost of doing nothing is materially higher than £3.64M per year and increases with every renewal cycle.

The Complete View for cloud (infrastructure baseline, Oracle Exadata@Cloud, Oracle support, BYOL savings, operational carry-forwards, and indicative egress) is approximately £4.59M per year on GCP, £4.7M per year on AWS, and £5.67M per year on Azure. As set out in Section 5, the cloud figure carries forward operational costs (NCS, Guardicore) that are expected to reduce post-migration, and the on-premises baseline is missing costs that are confirmed but not yet quantified. The direction of travel favours cloud, and only cloud provides paths to reduce cost over time through right-sizing, modernisation, and application rationalisation.

Oracle modernisation is the largest single opportunity. If the PostgreSQL path is pursued in Part 2, it eliminates the £650K per year Oracle support contract and reduces database infrastructure cost by a further £540K to £780K per year. This saving comes primarily from eliminating the support contract. The conversion cost is not estimated in Part 1.

Indicative commercial terms from hyperscaler funding programmes (calculated against 3-year reserved consumption) show approximately £0.57M in total funding for AWS and £0.56M for GCP over the commitment period. Azure funding is pending. These are indicative, subject to formal hyperscaler approval, and will be refined in Part 2.

Year 1 is a net investment year. It includes three cost layers: migration delivery (one-time), dual-run overlap while on-premises and cloud run in parallel (temporary), and cloud run-rate (ongoing). Savings accrue as workloads migrate and on-premises costs drop. The crossover point depends on cohort velocity and commercial terms. Part 2 models this precisely.

The financial pressure is compounded by operational risk. The seven-area operating model was flagged at kickoff as limiting growth. It continues to limit until addressed. Scaling Mail Online to one million subscribers on fixed-capacity infrastructure requires capital outlay that cloud eliminates. Any

VMware expansion or major upgrade now requires a VCF subscription, and security posture continues to degrade while the estate runs unpatched. Each of these can be managed individually, but each renewal cycle re-locks capital and narrows the window for coordinated action.

The three converging contracts (datacentre leases November 2027, Microsoft EA May 2027, Broadcom VMware position now) define a window of approximately two years. Beyond that, the cost of transformation goes up because the alternatives individually preserve optionality but collectively foreclose it.

Decision Guidance For Hyperscaler Presentations

Questions that reveal whether they understand DMG Media’s situation

- 'What is DMG Media’s answer for Oracle?' (not 'how much would it cost to run Oracle on our cloud', but the whole path)
- 'How have DMG Media sized our workloads?' (does their methodology match the others?)
- 'What does BYOL look like for our Server 2022 estate?' (only Azure AHB works without the October 2019 Listed Provider restrictions)
- 'What is DMG Media’s commercial offer?' (private pricing, MAP/EA credits, partner pricing)
- 'Who owns Day 2 operations?' (vendor, DMG Media’s team, Rackspace, a combination)

Warning signs

- All-5 self-rating on evaluation criteria without specific DMG-grounded justification
- Cost figures that do not include Oracle, SQL Server licensing, or support
- Proposals that ignore DMG Media’s Software Assurance status
- Sizing that uses only their own tool without API cross-validation
- Year 1 savings claims without acknowledging dual-run cost

What DMG Needs To Do Now

Over the coming weeks DMG media will hear from AWS, Microsoft, and Google directly. Each will present their own view and their own figures. This report is the independent frame of reference against which those presentations can be weighed, based on a consistent set of data.

Hyperscaler sessions (May)

12 May: Microsoft presentation (customer offices and remote, 14:00 to 16:00)

13 May: Google presentation (customer offices and remote, 11:00 to 13:00)

18 May: AWS presentation (AWS offices and remote, 09:30 to 13:30)

The discussion guidance and warning signs provided in this report should be used to evaluate each presentation against a consistent baseline.

Following the hyperscaler sessions:

- Confirm primary cloud platform decision (Rackspace recommendation: AWS, with GCP retained for analytics)
- Rackspace present Statement of Work for Part 2, embracing hyperscaler funding (May)
- Customer approve and sign Part 2 SoW (before end of May)

Part 2 kick-off (target: June)

- 15-week programme: landing zone design, 7R analysis, migration planning, database modernisation assessment
- Sydney early migration and technology trials run in parallel from week 4

Foundational Actions

Modernise legacy operating systems

Older OS versions cannot be lifted to cloud as-is. Replatforming to supported versions is a per-server activity. Starting early avoids it becoming a critical path blocker.

Establish cloud governance

Define the cloud operating model before migrating workloads: who provisions, who approves, who pays. Establish tagging and labelling standards for cost attribution. Implement FinOps practice from day one. Define security baselines and compliance requirements.

Prepare the cloud landing zone

A cloud landing zone is the standardised environment into which workloads are migrated. It includes network topology, IAM, security controls, logging and monitoring foundations, and cost management. Getting the landing zone right before migration begins avoids expensive redesign once workloads are running.

Adopt automation tooling

Infrastructure-as-Code for all resource provisioning. CI/CD pipelines for infrastructure deployment. Automated compliance checking (policy-as-code). Cloud-native monitoring and alerting to replace SolarWinds and Zabbix.

Staff training

Cloud platform certification programme for the infrastructure team. Kubernetes training to support the container strategy. FinOps training for finance and technology leadership. Security training for the cloud-native security model.

Part 2 Entry Point

Commented [MW1]: @Steven Bianciardi this is what I mean

Commented [SB2R1]: @Matthew, take a look at the new narrative and delete this section if you are happy, great job on aligning the rest of the section.

Part 1 has delivered a clear assessment of the estate and a set of prioritised recommendations. Part 2 converts that into a fully executable migration plan, the definitive blueprint against which the migration programme will be delivered.

Part 2 runs approximately 15 weeks across three parallel workstreams: Infrastructure and Security Foundation, Migration Readiness of Applications, and Database Modernisation.

An early migration track will be initiated from week 4 to drive benefit realisation ahead of the main programme, our recommendation is the Sydney datacentre as a starting point. All findings will be used to inform the main migration programme.

The main migration will follow Part 2 as a separate engagement, delivered against the plan this phase produces.

Workstream 1: Infrastructure and Security Foundation

- Architect-led requirements workshops
- Landing zone design and deployment (network topology, IAM, security controls, logging, cost management)
- Shared services and base infrastructure build
- Additional infrastructure discovery (extending to the remaining ~1,500 catalogued servers not assessed in Part 1)
- Legacy OS obsolescence assessment
- Right-sizing of workloads

Outcome: foundational baseline pre-migration, cloud-ready operating environment, governance and security guardrails live.

Workstream 2: Migration Readiness of Applications

- Scoping and profiling workshops
- 7R disposition analysis across the full estate
- Application charter and co-migration group validation
- Migration wave planning with timeline estimates

Outcome: 7R analysis and application charter, migration plan and runbook, optimised workload sizing, per-server plan for end-of-life OS upgrade.

Workstream 3: Database Modernisation

- DMA data collection on Mail Online B-cluster (highest-priority action carried forward from Part 1)
- Complexity assessment and licence optimisation
- Oracle DB modernisation strategy and SQL licensing decisions
- Database migration roadmap

Outcome: per-cluster migration decisions for Oracle and SQL databases, database strategy and cost opportunities.

Quick Win Migration and Technology Trials (from week 4)

Sydney is the early migration candidate. It is an independent environment with minimal dependencies, making it suitable for parallel execution while the main planning workstreams progress.

- Architect-led workshops for requirements gathering
- Landing zone design and deployment
- Shared services and base infrastructure build
- Additional infrastructure discovery

Outcomes: £40K per year cost savings from datacentre exit, validate tooling and runbooks ahead of main programme, inform full migration, support customer cloud projects.

Rackspace will look for early benefit realisation (Sydney and other opportunities for early savings) during Part 2.

Part 2 Deliverables

- 7R analysis and application charter
- Migration plan and runbook
- Optimised workload sizing
- Per-server plan for end-of-life OS upgrade
- Per-cluster migration decisions for Oracle and SQL databases
- Database strategy and cost opportunities
- Migration wave sequencing with timeline estimates
- Final reporting and executive playback

Indicative Timeline

The migration programme has three phases: planning, execution, and optimisation.

Part 2 (planning and design) runs approximately 15 weeks. It produces the landing zone design, per-application migration strategies, cohort sequencing, and a realistic datacentre exit plan.

Migration execution follows Part 2 and is expected to run 12 to 18 months depending on the Oracle path decision, Atex unicast confirmation, and the pace at which Mail Online sub-components can be sequenced. The UK datacentre leases expire in November 2027. Whether full exit is achievable by that date depends on when Part 2 starts and how quickly the critical decisions are made.

Optimisation follows migration and includes FinOps maturity, PostgreSQL modernisation if the path is chosen, and Oracle support contract decisions.

The key dependency is Part 2 start date. Every month of delay compresses the execution window against the November 2027 lease expiry.

Continuity Into Part 2

The observations from Part 1 (the multicast constraint, Mail Online's dual ownership, the Oracle B-cluster data gap, Guardicore micro-segmentation, F5 iRule complexity, the ECO3 hardcoded IP pattern, and the Solaris legacy stack) directly inform how Part 2 is scoped. Part 2 activities can be planned against these known challenges rather than re-discovered.

Part 2 is a separately proposed engagement. Precise scope, pricing, and timeline are delivered in a separate Part 2 proposal from Rackspace's pre-sales team.

Section 12 Conclusion

The estate is ready to move. 3,038 servers profiled. 39 applications workshopped. The discovery and analysis is comprehensive enough to make a hyperscaler recommendation and begin planning the next phase.

AWS is the recommended platform. Weighted scoring: AWS 88%, GCP 85%, Azure 85%. AWS is the only platform that runs all 39 applications without refactoring. Native multicast support avoids the Atex redesign required on GCP and Azure. The existing AWS footprint (video streaming, Direct Connect, internal team knowledge) accelerates time to value. GCP is retained for data analytics where it is already established.

The levers to reduce cost sit in cloud. The cloud figure carries forward operational costs (database support, security tooling) that reduce or disappear post-migration. The optimisation levers (contract negotiation, right-sizing, storage tiering, Oracle modernisation, PaaS adoption) only exist in cloud. They do not exist on premises.

The organisation is at the start of its cloud journey. Readiness score: 2.1 out of 5. This is expected for an organisation only just preparing to move to cloud. The next steps undertaken in Part 2 will begin to address the uplift required to move to full readiness.

These things must be in place before Part 2 starts:

- Confirmation of primary cloud platform. The scoring, technical fit, cost position, and estate constraints all point towards AWS. GCP is retained for analytics.
- CPO and CTO joint programme sponsorship confirmed. People readiness is at 1.2. Without a named sponsor with authority across both CPO and CTO domains, the training plan, change management, and operating model definition will not progress.

Quick wins to run in parallel with Part 2 planning:

- Sydney datacentre: 4 servers, flexible contract. This proves the model and delivers early value while the main estate is being planned.

Part 2 delivers the execution plan: 7R disposition for all 39 applications, migration wave sequencing, dual-run cost modelling, landing zone design, database modernisation assessment, and per-server remediation plans for legacy OS.

For DMG Media, public cloud is a business decision, not just a technology upgrade. AWS is recommended because it fits the estate, minimises migration risk, and provides the platform on which cost reduction, operational simplification, and long-term growth are achievable.

Appendices

Appendix A: TCO Methodology and Detail

Approach

The TCO analysis priced all 3,038 in-scope servers independently across three clouds using live pricing APIs. Each cloud's own assessment tool recommended instance types from the same source data, and those recommendations were then priced against public API rates to normalise the comparison.

Cloud	Pricing source	Currency handling
GCP	Cloud Billing Catalog API	£native, no conversion
AWS	AWS Price List API	USD, converted at 0.755 GBP/USD (April 2026 corporate average)
Azure	Retail Prices REST API	£native, no conversion

Assumptions

- **Tool-based sizing**: servers priced at instance types recommended by each cloud's own TCO toolkit.
- **SSD baseline across all clouds**: GCP Balanced PD / Hyperdisk Balanced, AWS gp3, Azure Premium SSD. IOPS matched at 80,000 per disk where needed.
- **PAYG operating system in the baseline**: Windows and RHEL at Pay-as-you-go rates. BYOL modelled separately.
- **3-year committed pricing**: GCP 3-year CUD, AWS 3-year Standard Reserved, Azure 3-year Reserved VM Instances.
- **Single FX rate**: USD to GBP at 0.755 (April 2026 average). Applied to AWS pricing only.
- **No Azure Hybrid Benefit in the baseline**: AHB not applied because Software Assurance status is unverified.
- **Physical servers at provisioned specification**: 38 manually collected servers sized at provisioned CPU, memory, storage.
- Burstable VM families excluded by team agreement as not production-grade.

Detailed TCO workbooks

DMG_TCO_Comparison.xlsx: Summary, Rate Card, Repricing per region (London, NL/Ireland, Frankfurt), Methodology sheet.

DMG_TCO_Optimized.xlsx: Scenario Summary, Oracle Options, Migration Credits, Methodology. Windows BYOL, SQL Server licensing, Oracle migration scenarios, storage tiering, RHEL BYOL, Azure Dev/Test.

Appendix B: Attached Workbooks

Workbook	Contents
DMG_InScope_Business_Summary.xlsx	Executive Summary, Application Coverage, Per-Service Breakdown, Gap List, Database Discovery, Database Instance Inventory, App Dependency Matrix, Wave Planning (Summary), Raw Data
DMG_TCO_Comparison.xlsx	Summary, Rate Card, Repricing per region (London, NL/Ireland, Frankfurt), Methodology. All 3,038 servers priced per region from live API rates.
DMG_TCO_Optimized.xlsx	Scenario Summary, Oracle Options, Migration Credits, Methodology. Windows BYOL, SQL Server licensing, Oracle scenarios, storage tiering, RHEL BYOL, Azure Dev/Test. Includes Oracle support line (£650K per year retained under BYOL).
DMG Weighted Selection Criteria.xlsx	Weighted hyperscaler scoring across mutually agreed parameters.

Appendix C: Open Items

Item	Status	Impact	Section
Microsoft SA formal confirmation (Bluesource)	PENDING	Unblocks BYOL modelling as certainty	5, 6
Weighted hyperscaler scoring matrix	COMPLETE	Feeds Section 7 recommendation	7
Mail Online Oracle B-cluster DMA assessment	Not yet collected	Production primary Oracle; biggest Part 1 data gap	4, 5, 9
On-premises DC cost data (updated)	RECEIVED	£3.64M per year baseline incorporated	5, 11
Broadcom VCF subscription quote	PENDING	Completes cost of doing nothing picture	3, 5, 11
Pre-sales Part 2 content	PENDING	Indicative cost, phases, timelines, funding	11
Year 1 financial forecast	PENDING	Requires migration effort, dual-run schedule, commercial layer	11
Commercial layer (MAP, credits, partner pricing)	PENDING from sales team	Adjusts Complete View with commercial offers	5
AVS UK South node pricing	VERIFY	Multicast cost range accuracy	5, 6
Microsoft E3/E5 productivity licensing status	PENDING client confirmation	Affects productivity suite decision	3
Names of the seven technology operating areas	PENDING CTO	Specificity of Section 3 narrative	3
Legacy OS per-application mapping	Part 2 intake	Sequencing of replatform-before-migrate activity	8, 9
Atex vendor confirmation on unicast support	PENDING vendor engagement	Direct cost impact on multicast constraint	5, 6, 10
Sydney cluster independence validation	PENDING	Confirmation that Sydney can exit without UK dependency	10

Appendix D: Glossary

Term	Definition
AHB	Azure Hybrid Benefit. Allows use of existing Microsoft licenses on Azure.

ALng	Annual Licence (new). Microsoft Enterprise Agreement line item prefix.
AVS	Azure VMware Solution. VMware-on-Azure offering that supports multicast.
BYOL	Bring Your Own License. Using existing software licenses on cloud infrastructure.
CoE	Cloud Centre of Excellence.
CRA	Cloud Readiness Assessment.
CUD	Committed Use Discount (GCP). Discounts for 1 or 3-year commitment.
DMA	Database Migration Assessment. Google open-source tool for Oracle/SQL assessment.
EA	Enterprise Agreement (Microsoft).
Exadata@Cloud	Oracle's Exadata engineered system as a cloud service on AWS, Azure, and GCP.
FinOps	Financial operations for cloud. Practice combining technology, finance, and business accountability.
GCVE	Google Cloud VMware Engine.
GKE	Google Kubernetes Engine.
HA	High Availability.
IaC	Infrastructure as Code.
IOPS	Input/Output Operations Per Second.
Landing Zone	Pre-configured, standardised cloud environment for workload migration.
Listed Provider	Microsoft's designation for certain cloud providers where BYOL restrictions apply.
MACC	Microsoft Azure Consumption Commitment.
MAP	Migration Acceleration Programme (AWS).
Mail Online	Mail Online. DMG Media's digital platform, 72.6% of in-scope servers.
NCS	Third-party provider managing SQL Server and Oracle for certain DMG applications.
OCI	Oracle Cloud Infrastructure. Underpins Exadata@Cloud across all three clouds.
PAM	Privileged Access Management.
PAYG	Pay As You Go.
PL/SQL	Procedural Language extensions to SQL, used by Oracle.
RAC	Oracle Real Application Clusters.
RI	Reserved Instance (AWS).
SA	Software Assurance (Microsoft).
Sole Tenant Node	GCP feature where a physical host is dedicated to a single customer.
SnS	Support and Subscription (Broadcom).
TCO	Total Cost of Ownership.
TGW	AWS Transit Gateway.
TOM	Target Operating Model.

VCF	VMware Cloud Foundation. Broadcom's subscription-based VMware licensing model.
7Rs	Seven migration strategy options: Retire, Retain, Relocate, Rehost, Replatform, Repurchase, Rearchitect.
WPS	Web Publishing System. Mail Online's publishing pipeline.